

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MEDITERRANEAN SHIPPING COMPANY, S.A. - POSSIBLE
VIOLATIONS OF THE SHIPPING ACT, 46 U.S.C. 41102(C),
40501, AND 41104(A)(2)(A)

DOCKET NO. 23-08

Served: February 25, 2025

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding began on August 10, 2023, when the Federal Maritime Commission (“Commission” or “FMC”) issued an Order of Investigation and Hearing (“OIH”). The OIH instituted an investigation to determine whether Respondent Mediterranean Shipping Company, S.A. (“MSC”):

- Violated 46 U.S.C. § 41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property by (a) holding parties who have not consented to be bound by its bill of lading liable for detention and demurrage or per diem charges, and (b) misapplying its operating reefer rates to nonoperating reefer shipments;
- Violated 46 U.S.C. § 40501 by failing to publish in its tariff separate detention and demurrage rates for nonoperating reefers and any rules that affect those charges for public inspection;
- Violated 46 U.S.C. § 41104(a)(2)(A) by providing transportation in the liner trade that was not in accordance with the rates, charges, classifications, rules, and practices contained in its published tariff.

The OIH designated the Commission’s Bureau of Enforcement, Investigations, and Compliance (“BEIC”) a party to the proceeding, and assigned the case for hearing to the Office of Administrative Law Judges. The OIH further instructs the presiding officer to determine

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

whether civil penalties are appropriate and, if so, in what amount, and whether an appropriate cease and desist order should issue pursuant to 46 U.S.C. § 41304. On August 15, 2023 the Commission's Office of Enforcement ("OE") within BEIC entered its appearance and on September 5, 2023, MSC filed an Answer denying any violation of the Shipping Act and raising affirmative defenses.

Between 2018 and 2020, MSC issued invoices for detention charges to three customs agents who were identified only as the notify party on various bills of lading. It was MSC's policy to issue these invoices when the consignee was a forwarder located outside of the United States, or where the consignee had no credit arrangement with MSC. The customs agents denied any responsibility for the invoices, explaining that they had no role in the movement of cargo, and so the bills for detention should be sent to the shipper or the consignee. MSC refused to redirect the invoices without written confirmation that the customs agents' customers would accept and pay these charges. MSC relied on the "merchant clause" in its bill of lading, which defines a "merchant" to include nearly any entity involved with a shipment, including the notify parties in this case, and which makes any such "merchant" fully liable for any charge relating to that shipment.

Separately, in 2021, MSC began invoicing nonoperating reefers (refrigerated containers being used to transport non-refrigerated cargo) for detention and demurrage at the higher reefer rates. MSC states that this was the result of a billing-system error that was corrected in September 2021. But the error implicated thousands of shipments and confusion over the proper rates for nonoperating reefers persisted into 2022. Also during this time, MSC's tariff did not identify separate detention and demurrage rates for operating and nonoperating reefers, despite its unwritten internal policy of billing the latter at the lower "dry" container rates. MSC did not correct its tariff until 2023.

As explained below, MSC's practice of invoicing notify parties who were not involved in the movement of containers for detention and demurrage charges violates the incentive principle adopted by the Commission in its final Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 (May 18, 2020) because it does not promote freight fluidity. It is also an unreasonable practice considering common-law principles of agency and contract and therefore constitutes a violation of 46 U.S.C. § 41102(c). In addition, MSC's failure to publish the rules and rates governing charges for nonoperating reefers constituted a violation of the Shipping Act's tariff-publishing requirement at 46 U.S.C. § 40501. But the evidence indicates that the overcharges for nonoperating reefers in 2021 were mistakes, not a practice of MSC, and so did not violate § 41102(c).

Accordingly, civil penalties and a cease-and-desist order are imposed as set forth below with respect to the billing of notify parties and the failure to publish nonoperating reefer rates. No penalties are imposed for the nonoperating reefer overcharges.

B. Procedural History

Following the filing of MSC's answer, the parties filed a joint status report and a scheduling order was entered on October 2, 2023. At the request of MSC, subpoenas were issued to the customs agents who were the subject of the § 41102(c) claims in the OIH, and on November 6, 2023, MSC notified the Commission of its intent to seek enforcement of those subpoenas in federal district court. On March 4, 2024, the parties filed their joint stipulations of fact. On April 3, 2024, OE filed its opening brief ("OE Br."). MSC filed its brief on May 3, 2024 ("MSC Br."), and OE filed a reply on May 20, 2024 ("OE Reply Br."). MSC filed a notice of supplemental authority on July 25, 2024.

C. Arguments of the Parties

OE argues that MSC's application of its merchant clause satisfies the elements of a violation of 46 U.S.C. § 41102(c): MSC is a common carrier; its practice of charging notify parties for detention and demurrage was set forth in its internal written billing procedures and so was normal, customary, and continuous; the practice was related to receiving, handling, storing, and delivery of property because it dealt with detention charges; and it was unjust and unreasonable because the notify parties receive no benefit from the services provided in connection with the detention charges, because the imposition of detention charges does not incentivize freight fluidity, and because a person may not be bound to the terms of a bill of lading (the contractual basis for the detention charges) without manifesting consent to be bound. OE Br., pp. 41-47; OE Reply Br., pp. 3-22.

MSC counters that it had no notice that billing notify parties for detention charges incurred by their mutual customers pursuant to its merchant clause would violate § 41102(c), and so any civil penalty would violate due process. MSC also argues that the practice was reasonable because it was simply imposing charges per its tariff and that imposition of such charges on agents for benefits provided to their principals is consistent with Commission and federal court precedent. MSC also argues that five of the eighteen invoices at issue occurred prior to five years before the issuance of the OIH and so are barred by the statute of limitations. MSC Br., pp. 3-18.

OE also argues that MSC failed to publish rates and rules applicable to nonoperating reefers in its tariff until March 9, 2023, in violation of 46 U.S.C. §40501. OE Br., pp. 57-58. MSC does not contest this fact, and so OE is no longer pursuing allegations that MSC violated § 41104(a)(2)(A), which was presented as an alternative theory in the OIH. OE Br., p. 2 n.2. OE also contends that MSC normally, customarily, and continuously billed nonoperating reefers at the reefer rate instead of the dry container rate, which constituted an overcharge that was unjust and unreasonable in violation of § 41102(c). OE Br., pp. 55-56.

MSC states that it was in fact the internal policy of the company to charge nonoperating reefers as dry containers. MSC states that it charged the reefer rate because of an error in its billing system, which was remedied in September 2021. MSC Br., pp. 18-21, 22-24.

As to penalties, OE seeks total civil penalties of no less than \$63,256,853. OE argues that MSC's violations with respect to its merchant clause were committed knowingly and willfully

because MSC was on notice, by means of Commission notices of inquiry and of proposed rulemaking, that the Commission was concerned that demurrage and detention invoicing follow lines of contractual responsibility, and MSC nevertheless failed to make any changes to its merchant clause or billing practices. MSC's § 40501 violation was also knowing and willful, since it was aware of the confusion related to its nonoperating reefer charges in 2021, but did not amend its tariff until 2023. The overcharges themselves were also knowing and willful, as evidenced by the thousands of such charges and MSC's delay in fixing the alleged billing-system error. OE contends that these are serious violations of the Shipping Act, that MSC has a history of violations as evidenced by certain settlement agreements with the Commission, and that MSC is one of the largest carriers in the world and so is able to pay a substantial fine commensurate with its violations. OE also seeks a cease-and-desist order to prevent continued violations. OE Br., pp. 58-79; OE Reply Br., pp. 32-42.

MSC argues that the penalty sought by OE, given its size, is unlawful on its face. It argues the merchant-clause violations were not knowing and willful given the absence of a clear statement on this issue from the Commission and that the nonoperating reefer overcharges were simply a mistake. It argues that settlement agreements cannot be treated as prior offenses because they are not a full adjudication on the merits. MSC also argues the penalty amounts should be those in effect at the time of the alleged misconduct, not the current rates as proposed by OE and that the penalties proposed for § 40501 violations and the nonoperating reefer overcharges are an attempt to penalize the same conduct twice. MSC also argues that OE is improperly urging the presiding officer to infer that additional violations exist without properly supporting such inferences with evidence, that the proposed penalty is disproportionate to the charges at issue, and that its refunds of the charges are a mitigating factor. It suggests a more reasonable penalty, if one is imposed at all, would be in the range of \$2 million to \$3 million. MSC Br., pp. 4-9, 24-40.

D. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 98-102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the OIH or the defenses thereto. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent that individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent

individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

II. FINDINGS OF FACT (“FOF”)

A. Relevant Entities

1. Respondent Mediterranean Shipping Company, S.A., (“MSC”) is a vessel-operating common carrier (“VOCC”), FMC Organization No. 001699. Joint Stipulations of Fact (“JSF”) ¶ 1.
2. MSC is a common carrier as defined by 46 U.S.C. § 40102(7). JSF ¶ 2.
3. MSC is privately owned and organized under the laws of Switzerland with its principal place of business in Geneva, Switzerland. JSF ¶ 3.
4. MSC’s agent in the United States is Mediterranean Shipping Company (USA), Inc. (“MSC USA”) with a principal place of business in New York, NY. JSF ¶ 4.
5. MSC publishes its tariffs with Descartes Systems Group Inc. at <https://rates.descartes.com>. JSF ¶ 5.
6. V. Alexander & Co., Inc. (“V. Alexander”) is a licensed and bonded Ocean Freight Forwarder, FMC Org. No. 005312. Order of Investigation and Hearing (“OIH”) ¶ 17; Answer ¶ 17.
7. John S. Connor, Inc. (“J. Connor”) is a licensed, tariffed, and bonded non-vessel operating common carrier and ocean freight forwarder, FMC Org. No. 00674. OIH ¶ 29; Answer ¶ 29.
8. Welke Customs Brokers USA, Inc. (“Welke USA”) is a licensed customs brokerage firm. Office of Enforcement (“OE”) Appendix² BEIC 72; OIH ¶ 40.

B. Merchant Clause

9. MSC’s Bill of Lading is unchanged from January 2018 to the present. JSF ¶ 6.
10. MSC’s Bill of Lading defines the term “Merchant” to include “the Shipper, Consignee, holder of this Bill of Lading, the receiver of the Goods and any Person owing, entitled to or claiming the possession of the Goods or of this Bill of Lading or anyone acting on behalf of this Person.” OE App. BEIC 99; JSF ¶ 7.

² The sections of OE’s appendix are paginated with the following prefixes: BEIC; Discovery Materials; and MSC Production. References to OE’s appendix will be indicated by “OE App. [prefix] [page number]”.

11. MSC's Bill of Lading defines the term "Person" to include "an individual, corporation, company, or any other legal entity." OE App. BEIC 99; JSF ¶ 8.

12. MSC's Bill of Lading states:

The contract evidenced by this Bill of Lading is between the Carrier and the Merchant. Every Person defined as "Merchant" is jointly and severally liable towards the Carrier for all the various undertakings, responsibilities, and liabilities of the Merchant under or in connection with this Bill of Lading and to pay the Freight due under it without deduction or set-off. The Merchant warrants that in agreeing to the terms and conditions in this Bill of Lading, he is the owner of the Goods, or he does so with the authority of the owner of the Goods or of the Person entitled to the possession of the Goods or of this Bill of Lading.

OE App. BEIC 100.

13. Rule 106 of MSC's tariff MESU-012 incorporates the definition of "Merchant" found in MSC's non-negotiable sea waybill. JSF ¶ 10; OE App. BEIC 161.

14. MSC's tariff makes the Merchant responsible for payment of demurrage, detention, and per diem. OE Proposed Findings of Fact ("PFF") ¶ 21; MSC Response to OE PFF ¶ 21.

15. MSC's written internal policy was to bill the notify party when the consignee was a forwarder located outside of the United States or the consignee had no credit arrangement with MSC. MSC PFF 1; OE App. MSC Production 34, 374-75; OE PFF ¶ 22, 27; Resp. to OE PFF ¶ 22, 27; OE App. MSC Production 34.

16. MSC's policy is to require written confirmation any time the party receiving an invoice is changed. OE PFF ¶ 31; Resp. to OE PFF ¶ 31.

17. MSC's policy is not to remove charges from any account until the new recipient of the invoices has confirmed that it agrees to be billed for those charges. OE PFF ¶ 32; Resp. to OE PFF ¶ 32.

18. The Commission issued a Notice of Inquiry in Docket No. 20-16, Vessel-Operating Common Carrier Definition and Application of the Term "Merchant" in Bills of Lading on October 7, 2020. JSF ¶¶ 17-18.

19. On October 27, 2021, an investigation into MSC's use of the definition of "Merchant" began. OE App. BEIC 294 (Erin Tasova Statement).

20. On April 11, 2022, counsel for MSC USA responded to a March 10, 2022 FMC letter. In response to question 6, "How did MSC determine which parties would be billed for detention, demurrage or other charges for the forty (40) shipments identified in the attached list? Please describe in detail." MSC responded: "Unless a shipment is rated under a service contract which provides that the contract holder will be billed directly,

then per diem will be billed to the trucker (notify party). Detention and demurrage are normally billed directly to the merchant.” OE App. BEIC 130.

1. BOLs at Issue

21. V. Alexander was listed as the notify party on the following seven bills of lading (“V. Alexander BOLs”): MSCUJX768383 (OE App. BEIC 1); MSCUJX764689 (OE App. BEIC 5); MSCUJX802356 (OE App. BEIC 8); MSCUJX809211 (OE App. BEIC 11); MSCUJX963315 (OE App. BEIC 14); MSCUJX962887 (OE App. BEIC 16); MEDUJP120135 (OE App. BEIC 18); *see also* OE App. Discovery Materials 23.
22. V. Alexander was neither the shipper nor the consignee for the V. Alexander BOLs. *Id.*
23. J. Connor was listed as the notify party on the following five bills of lading (J. Connor BOLs”): MEDUL8508615 (OE App. BEIC 40); MEDUL8510991 (OE App. BEIC 46); MEDUL8499021 (OE App. BEIC 52); MEDUL8510827 (OE App. BEIC 58); MEDUL8635335 (OE App. BEIC 64); *see also* OE App. Discovery Materials 23-24.
24. J. Connor was neither the shipper nor the consignee for the J. Connor BOLs. *Id.*
25. Welke USA was listed as the notify party on the following five bills of lading (Welke BOLs”): MEDUBA338947 (OE App. BEIC 74); MEDUBA354803 (OE App. BEIC 78); MEDUBA355438 (OE App. BEIC 79); MEDUBA361949 (OE App. BEIC 80); MEDUBA376731 (OE App. BEIC 81); *see also* Discovery Materials 24.
26. Welke USA was neither the shipper nor the consignee for the Welke BOLs. *Id.*
27. The above-described bills of lading listing either V. Alexander, J. Connor, or Welke USA as the notify party resulted in invoices issued to the same notify party, as detailed below:

Notify Party	BOL	Invoice #(s)	Invoice Date(s)	Detention Charge(s)	Invoice Cite(s)
V. Alexander	MSCUJX768383	190000057911R; 190000058539R	2/2/2018; 2/12/2018	\$660.00; \$165.000	BEIC 3; BEIC 4
V. Alexander	MSCUJX764689	190000058338R	2/12/2018	\$1,215.00	BEIC 7
V. Alexander	MSCUJX802356	190000060568R	4/11/2018	\$165.00	BEIC 10
V. Alexander	MSCUJX809211	190000061236R	5/2/2018	\$165.00	BEIC 13

V. Alexander	MSCUJX963315	190000067404R	8/16/2018	\$165.00	BEIC 15
V. Alexander	MSCUJX962887	190000067405R	8/16/2018	\$165.00	BEIC 17
V. Alexander	MEDUJP120135	190000071814R	12/6/2018	\$495.00	BEIC 20
J. Connor	MEDUL8508615	100000098316R	10/2/2020	\$330.00	BEIC 41
J. Connor	MEDUL8510991	100000098319R	10/2/2020	\$660.00	BEIC 47
J. Connor	MEDUL8499021	100000098317R	10/2/2020	\$330.00	BEIC 53
J. Connor	MEDUL8510827	100000098318R	10/2/2020	\$660.00	BEIC 59
J. Connor	MEDUL8635335	100000101476R	11/12/2020	\$330.00	BEIC 66
Welke USA	MEDUBA338947	MEDUBA338947	3/18/2020	\$675.00	MSC Production 457
Welke USA	MEDUBA354803	MEDUBA354803	4/12/2020	\$2,271.91	MSC Production 460
Welke USA	MEDUBA355438	MEDUBA355438	4/20/2020	\$287.50	MSC Production 461
Welke USA	MEDUBA361949	MEDUBA361949	5/3/2020	\$1,137.50	MSC Production 462
Welke USA	MEDUBA376731	MEDUBA376731	5/23/2020	\$225.00	MSC Production 463

See also JSF ¶¶ 19-36; OE PFF ¶¶ 39-54, 92-101, 123; Resp. to OE PFF ¶¶ 39-54, 92-101, 123; OE App. BEIC 88.

28. Out of the 18 invoices identified above, 5 invoices, all issued to V. Alexander, were dated prior to August 10, 2018. OE App. BEIC 3, 4, 7, 10, 13.
29. The remaining 13 invoices were dated between August 16, 2018 and November 12, 2020. OE App. BEIC 15, 17, 20, 41, 47, 53, 59, 66; OE App. MSC Production 457, 460-463.

2. V. Alexander Terms and Communications

30. V. Alexander's "Terms and Conditions of Service" states:

1. Definitions.

- (a) "Company shall mean V. Alexander & Co., its subsidiaries, related companies, agents and/or representatives;
- (b) "Customer" shall mean the person for which the Company is rendering service

2. Company As Agent. The Company acts as the "agent" of the Customer for the purpose of performing duties in connection with the entry and release of goods, post entry services, the securing of export licenses, the filing of export and security documentation on behalf of the Customer and other dealings with Government Agencies, or for arranging for transportation services or other logistics services in any capacity other than as a carrier. . . .

15. General Lien and Right to Sell Customer's Property.

- (a) Company shall have a continuing lien on any and all property and documents relating thereto of Customer coming into Company's actual or constructive possession, custody or control or enroute, which lien shall survive delivery, for all charges, expenses or advances owed to Company with regard to the shipment on which the lien is claimed, a prior shipment(s) and/or both. Customs duties, transportation charges, and related payments advanced by the Company shall be deemed paid in trust on behalf of the Customer and treated as pass through payments made on behalf of the Customer for which the Company is acting as a mere conduit.
- (b) Company shall provide written notice to Customer of its intent to exercise such lien, the exact amount of monies due and owing, as well as any on-going storage or other charges; Customer shall notify all parties having an interest in its shipment(s) of Company's rights and/or the exercise of such lien.

(c) Unless, within thirty days of receiving notice of lien, Customer posts cash or letter of credit at sight, or, if the amount due is in dispute, an acceptable bond equal to 110% of the value of the total amount due, in favor of Company, guaranteeing payment of the monies owed, plus all storage charges accrued or to be accrued, Company shall have the right to sell such shipment(s) at public or private sale or auction and any net proceeds remaining thereafter shall be refunded to Customer.

Respondent Appendix (“Resp. App.”) 159, 161 (bold omitted).

31. On March 10, 2021, MSC emailed V. Alexander, including a “statement of your account including all current and past due balances” and requesting payment of outstanding charges totaling \$6,544.40. OE App. BEIC 28.

32. On March 11, 2021, V. Alexander responded by providing a list of invoice numbers (which list included invoice numbers 190000057911R, 190000058539R, 190000058338R, 190000060568R, 190000061236R, 190000067404R, 190000067405R, and 190000071814R) and stating that the items listed:

[S]hould be billed direct to the consignee. I have also attached an email where we already requested the invoices from 2018 to be removed from our account. Please rebill to the correct party and confirm when complete.

OE App. BEIC 26-27.

33. On March 12, 2021, MSC responded to V. Alexander, writing:

Please note we bill to notify party as you are the on [sic] being notified of arrival. If cnee is to pay we need their confirmation in writing that they accept these invoices. Until we receive their written acceptance we would not be able to remove from your account.

OE App. BEIC 26.

34. Later on March 12, 2021, V. Alexander replied:

We are neither the shipper or consignee on the BOL and only handle the clearance for these accounts. The charges should go directly to them and I have included our lawyer if you have further questions or continue to persist these charges belong on our account.

OE App. BEIC 25.

35. Mr. Neil Mooney, V. Alexander’s attorney, replied later on March 12, 2021:

[T]he Notify Party is not a merchant on the bill of lading: it is not a party to the contract of affreightment. The request of MSC that V. Alexander be shown as Notify Party was not made by the latter, which had no part in the

formation of your contract with the merchant(s). As a result, it has no obligation to pay for any services performed under the contract between you and your merchant customers. If you really would like to collect your money, you should direct your bills to someone who owes you the sums.

OE App. BEIC 24-25.

36. On March 16, 2021, MSC replied writing:

V Alexander is the notify party on these shipments so you were the party who was notified of container arrival at rail. We will reach out to cnee to see if they will accept to pay these charges but we cannot reinvoice without their written confirmation that they will pay these invoices. If you have any contacts to add who can accept these charges please do so. If not we will reach out on our side as well. We will not be able to remove from your account unless they confirm[.] Thanks.

OE App. BEIC 24.

37. On April 6, 2021, MSC replied again writing: "Please provide an update as to when these will be processed for payment as we have not heard back from you on these invoices."

OE App. BEIC 23.

38. On April 27, 2021, MSC emailed the consignee for the V. Alexander BOLs writing:

Good day Bridgestone, I am reaching out for payment of below rail detention invoices. V. Alexander who is currently invoiced for these charges has confirmed the proper bill to party is actually Bridgestone for the 20 invoices below. Before we can reinvoice to your company directly I would need confirmation you will pay these charges. Please confirm and I will issue new invoices accordingly.

OE App. BEIC 33.

39. Bridgestone replied on May 4, 2021, requesting invoice copies so that a further investigation could be made. OE App. BEIC 33. MSC provided those on May 4, 2021. OE App. BEIC 32.

40. On May 19, 2021, MSC emailed V. Alexander another statement of account, showing a total due of \$30,559.40. OE App. BEIC 22.

41. On May 20, May 21 and June 2, 2021, MSC emailed Bridgestone, asking them to confirm whether they would pay the invoices sent or if they would need them reinvoiced directly to Bridgestone. OE App. BEIC 30-32. On June 22, 2021, MSC again emailed Bridgestone, writing: "I am once again following up as you are unresponsive in regards to below issues. We need an update as V. Alexander confirms you are responsible for these charges. Please provide update." OE App. BEIC 30.

42. On May 21, 2021, Ms. Tina Downey, District Sales Manager for MSC USA, emailed Ms. Monica Moore, Inside Sales Manager for MSC USA, writing:

Not sure if you can help with this one or not. The rail detention invoices are being sent to V Alexander who is the notify party but these shipped under Bridgestone so these should be for Bridgestone's account. Invoices are attached and then the reply from Robert stating that Bridgestone has to agree to pay the charges before they can rebill them. But V Alexander should have never been billed in the first place.

OE App. MSC Production 382.

43. Ms. Moore replied to Ms. Downey later on May 21, 2021, writing:

Robert is correct. Our policy is to always bill the Notify party since they are who we send arrival notices to (kind of like per diem gets billed to the trucker since they pull the box). Can Bridgestone email advising us that they accept to pay all of these charges so we can reinvoice?

OE App. MSC Production 382.

44. In July 2021, V. Alexander continued to dispute MSC's statement balance for V Alexander. OE App. BEIC 37-38. MSC reiterated on July 19, 2021: "I can't remove those from your account until Bridgestone confirms they will pay them. See attached. If you want to try to reach out I have not had any luck with contacts I was provided by your team." OE App. BEIC 37.
45. V Alexander replied later on July 19, 2021, stating: "I am not understanding why you can't remove them from our account when they never should have been billed to us in the first place. Why would V. Alexander be responsible for these items ever?" OE App. BEIC 36.
46. MSC responded on July 19, 2021: "You are the 1st notify party on the shipment. That is who we bill for rail detention charges." OE App. BEIC 36.
47. V. Alexander replied again on July 19, 2021, writing: "As a disclosed principal, V. Alexander is not a party to nor bound by MSC's bill of lading contracts with the actual merchant and never consented to be. Therefore, V. Alexander is not responsible for these charges. Per Federal Law, MSC will need to bill the Merchant for these charges and stop harassing V. Alexander." OE App. BEIC 36.
48. MSC replied writing: "I can only remove once I have the acceptance from Bridgestone for these invoices. I have resent to them today. Once I have their confirmation they will be removed." OE App. BEIC 35.
49. V. Alexander replied on July 19, 2021:

Please understand, V. Alexander, by law, is not responsible for these charges, we have not accepted responsibility for these charges, and we will not pay these charges. If MSC chooses to leave these on our account until an actual party to the transaction agrees to accept them, that is your poor accounting practice and we will continue to dispute and advise that these need to be removed from our statement in order for MSC to rectify their violation of GAAP rules and federal law.

OE App. BEIC 35.

50. MSC replied again on July 19, 2021, writing: “These will remain until we have resolution. Please clear the rest of the outstanding your dispute is already noted on these invoices.” OE App. BEIC 35.
51. On July 20, 2021, MSC emailed Bridgestone, ccing V Alexander, writing: “Please confirm I may proceed with re-invoicing directly to Bridgestone.” OE App. MSC Production 312.
52. On July 22, 2021, Bridgestone responded stating: “[T]hese invoices are from 2018. Bridgestone requires that invoices are received within 45 days of occurrence or they are voided and this is stated in our contract. These invoices will need to be settled by MSC.” OE App. MSC Production 312.
53. Later on July 22, 2021, Mr. Ristau in Rail Detention at MSC forwarded Bridgestone’s response to another MSC employee, Mr. Peter Siriyong, writing:

I have these 8 invoices currently billed to 1st notify V Alexander from 2018 but they are refusing to pay and are “threatening” legal action if not removed. I have reached out to cnee but they have refused to accept per attached that they were not billed within 45 days per contract. Can you confirm how I we can proceed? Or if these should be moved to uncollectible?

OE App. MSC Production 309.

54. Mr. Siriyong responded on July 22, 2021, writing “Please cancel the invoices.” OE App. MSC Production 309.
55. The V. Alexander BOL invoices were dropped in the next billing statement that V Alexander received from MSC. OE App. BEIC 295.

3. J. Connor Communications

56. On April 20, 2021, MSC emailed J. Connor, referencing an outstanding balance of \$32,125 and writing: “As of today, we have not received payment nor your response regarding past due invoices. Please review and advise when payment can be expected.” OE App. MSC Production 307.

57. Four of the J. Connor BOL invoices (100000098316R, 100000098319R, 100000098317R, and 100000098318R) were paid on April 29, 2021, and the fifth (100000101476R) was paid on May 25, 2021. OE App. MSC Production 305; *see also* OE PFF ¶¶ 103, 105; Resp. to OE PFF ¶¶ 103, 105.

58. On May 14, 2021, J. Connor attached the five J. Connor BOL invoices to an email, writing:

Per Rich's request this week on the above subject, we have several examples we can present.

Example 1

Ocean carrier will bill us the container detention charges because we are a Notify on the B/L. We are the Notify Party only for the sole purpose of receiving arrival info to clear Customs. We don't move the freight. We don't organize the delivery. Thus, we have zero control over the incurring of detention, but they threaten our freight account if we don't pay, and we have to waste resources essentially being their collection agency or we take the hit.

All five examples attached are involving MSC.

OE App. BEIC 71; *see also* OE PFF ¶ 104, Resp. to OE PFF ¶ 104.

4. Welke USA Terms and Communications

59. Welke USA's "Terms and Conditions of Service" states:

1. Definitions

(a) "Company" shall mean Welke Customs Brokers USA, Inc., its subsidiaries, related companies, agents and/or representatives;

(b) "Customer" shall mean the person for which the Company is rendering service, as well as its principals, agents and/or representatives

14. General Lien and Right to Sell Customer's Property

(a) Company shall have a general and continuing lien on any and all property of Customer coming into Company's actual or constructive possession or control for monies owed to Company with regard to this shipment on which the lien is claimed, a prior shipment(s) and/or both;

(b) Company shall provide written notice to Customer of its intent to exercise such lien, the exact amount of monies due and owing, as well as any on-going storage or other charges; Customer shall notify all parties

having an interest in its shipment(s) of Company's rights and/or the exercise of such lien.

(c) Unless, within thirty days of receiving notice of its lien, Customer posts cash or letter of credit at sight, or, if the amount due is in dispute, an acceptable bond equal to 110% of the value of the total amount due, in favor of Company, guaranteeing payment of the monies owed, plus all storage charges accrued or to be accrued, Company shall have the right to sell such shipment(s) at public or private sale or auction and any net proceeds remaining thereafter shall be refunded to Customer.

Resp. App. 66-67.

60. MSC opened an account in the name of Welke USA without its consent. OIH ¶ 48; Answer ¶ 48.
61. MSC posted truck detention charges to Welke USA and MSC demanded payment from Welke USA. OIH ¶ 49; Answer ¶ 49.
62. Initially, on March 11, 2020, MSC emailed Welke USA, requesting payment of outstanding charges totaling \$9,269 related to BOLs other than the Welke BOLs. OE App. MSC Production 493.
63. Also on March 11, 2020, Welke USA emailed the shipper of the containers, Egger Argentina ("Egger"), asking it to "contact MSC Argentina and arrange payment." OE App. MSC Production 492-493; OE PFF ¶ 108; Resp. to OE PFF ¶ 108. Egger responded to Welke USA, stating: "These expenses should be reflected in our account here in Argentina." OE App. MSC Production 492. Welke forwarded the email internally, writing: "Here is the email from Egger where they said they paid all charges direct to MSC Argentina. I am unsure what internally is going on with MSC but here is Egger directly saying they paid the fee." *Id.*
64. On March 25, 2020, Welke USA forwarded Egger's response to MSC, also writing:

Welke has an agreement with Egger to secure the release of the import cargo from Customs custody and provide MSC Port Everglades proof of CBP clearance and delivery order to the consignee of the containers. Once we issue those documents, we have completed our services. We are not responsible for coordinating the pick up by a domestic carrier of the containers for delivery since the ocean BOL terms of service included delivery to the consignee door.

We have advised MSC on more than one occasion that Welke is not responsible for charges that are associated with driver waiting time or any other costs associated with the delivery of containers to the consignee location. We have no beneficial interest [in] the cargo nor are we a party to the shipping terms of the bill of lading.

Please refer to emails below regarding these charges where Egger agreed to remit payment to MSC in Argentina.

OE App. MSC Production 491-92.

65. Later on March 25, 2020, Welke USA replied again to MSC, writing: “As an additional point, Welke did not request MSC establish an account or provide extended payment terms. This appears to be an arbitrary action on the part of MSC to create an A/R for balance sheet and payment purposes.” OE App. MSC Production 491.
66. On March 26, 2020, in an internal MSC email, Mr. Hans Lehrmann, Collections MSC USA, wrote: “As per customer Welke is not responsibility [sic] for this outstanding; so we need your help to see who authorized those charges that were added in those ob/l’s.” OE App. MSC Production 485.
67. On March 27, 2020, in an internal MSC email, another MSC employee wrote to Mr. Lehrmann and others:

First of all these cost should be invoiced to Egger i/o Welke. But could you clarify what costs refer to? Is about demurrage/detention or trucking waiting time? Could you re-send me the each invoice? . . . But first I would like to check when costs appears and who took the decision to invoiced to Welke[.] Take in account for some bls shipper paid det/dem locally

OE App. MSC Production 484.

68. Also on March 27, 2020, another MSC employee responded: “These were invoice to the invoice company on the Bl.” MSC Production 483. Later on March 27, Mr. David Aguado, Intermodal Assistant Manager for MSC USA, wrote:

We invoice these to the invoice company because a lot of times when we invoice to the CNEE, or another party, they don’t pay then our freight cashier team has to try and collect these. So by procedure, we are forced to send these invoices to the invoice company listed on the BOL. Hope these clears up why we always send them to the invoice company.

OE App. MSC Production 482.

69. In April, May, and June 2020, MSC emailed Welke USA, requesting payment of outstanding charges for the Welke BOLs. E.g., OE App. MSC Production 449-55; *see also* OE App. MSC Production 465-66 (internal MSC email dated June 25, 2020, noting “Welke they don’t pay any multistep or drop and pick. They already went to legal for some thousand dollars and now we have almost \$5k more, we need [t]o stop this nonsense and do not authorize any additional multistep for them and let them pay dem&det[.] Otherwise is costing MSC a lot more and they do not pay. . . . [P]lease send Final Notice to both Welke and Wurth” and listing BOL numbers MEDUBA338947, MEDUBA354803, MEDUBA355438, MEDUBA361949, and MEDUBA376731.).

70. On June 25, 2020, Egger emailed MSC writing: “Please pay attention to the following detail, as I mentioned before, Egger Argentina will pay these expenses but I need to clarify some issues” also requesting “@MSC, please cancel the invoices billed to . . . Welke with a credit note and send an invoice for Egger Argentina SAU for that expenses. . . .” OE App. BEIC 90.

71. On June 25, 2020, an MSC employee wrote to another MSC employee “is this something we can do for them?” OE App. BEIC 88. Later on June 25, 2020, an MSC employee replied, ccing Egger, writing: “all below shipments were sent to legal for no payment, so there is nothing we can do now” and listing out the five Welke BOLs (MEDUBA338947, MEDUBA354803, MEDUBA355438, MEDUBA361949, and MEDUBA376731). OE App. BEIC 88.

72. Egger forwarded the MSC email to Welke on June 29, 2020, and wrote:

As you know, I was working on solve these issue with MSC in order to cancel the extra expenses generated by our customer WurthWood. Regarding the invoices billed to Welke, I asked them to cancel and bill new invoices to Egger Arg., they confirmed me they can’t do this because were sent to their legal department.

So, I need to ask you issue an invoice to Egger Arg for these expenses, we will pay to Welke, and then you can cancel this overdue with MSC. The detail is in the e-mail below.

Please let me know if you are agreed.

OE App. BEIC 87.

73. Welke responded to Egger on June 30, 2020, writing “we will issue invoices associated with the MBOL’s. Upon receipt of funds, we will remit payment to MSC in the amount of \$4596.91.” OE App. BEIC 87.

74. On July 3, 2020, Egger emailed Welke writing “The Payment will be done on Monday. I will send you the wire transfer asap.” OE App. BEIC 86.

75. On July 7, 2020, Welke emailed MSC writing: “Please send me a statement for the charges noted below and we will remit payment of behalf of Egger.” OE App. BEIC 86.

76. MSC replied to Welke on July 7, 2020, writing “Unfortunately because this has gone to legal, we cannot intervene.” BEIC 85. Welke then requested a contact in MSC’s legal department, however the MSC representative responded that he did not know who is the legal authority. OE App. BEIC 83-84.

77. Later on July 7, 2020, Welke USA emailed MSC, writing:

I have been informed by associates with MSC that the outstanding Welke A/R items (see highlighted in yellow below) totaling \$4596.91 have been

sent to your legal department. These charges are not for our account and we have had several communications with MSC regarding this issue.

We have collected the outstanding balance from Egger Argentina SAU (Egger) and will remit same on their behalf. I need to know who this payment is to be made to and if other than MSC, I will need an invoice for the charges. The charges in question are a result in driver waiting time for unloading at the consignee location.

Further, as I stated, Welke is a customs broker contracted by Egger to arrange for the customs clearance for import cargo arriving in the U.S. We are the named notify party on the BOL for arrival information only. We are not the shipper or the consignee and have no beneficial interest in the cargo shipped on any BOL for Egger Argentina SAU as the shipper. We require our account be cancelled and an explanation from your legal group as to why MSC insists we are responsible for these charges and under what authority you would create a financial obligation for Welke Customs Brokers when we are not a party to these transactions.

OE App. BEIC 83.

78. On July 8, 2020, Welke paid MSC the \$4,596.91 associated with the Welke BOLs. OE App. BEIC 82.

C. Operating Reefer vs. Non-Operating Reefer

79. A dry cargo container - also known as a dry container, dry freight container, or dry van container - is a shipping container designed for the carriage of goods other than liquids. It is the most widely used shipping container and used mainly for general cargo. OE PFF ¶ 186; Resp. to OE PFF ¶ 186.
80. A reefer container or refrigerated container (reefer) is an insulated shipping container generally designed for the purpose of carrying refrigerated cargo and fitted with a refrigeration unit which is connected to the carrying ship's electrical power supply. OE PFF ¶ 187; Resp. to OE PFF ¶ 187.
81. Reefers require enhanced handling and care, which includes the plugging and unplugging of the units, daily monitoring, electricity, pre-trip inspections for the units and generator, fuel for the generators, and other care. OE PFF ¶ 188; Resp. to OE PFF ¶ 188.
82. Non-operating reefer containers ("NORS"), containers with refrigeration units which are turned off, may be substituted for dry containers when they are non-operational or when demand for dry containers exceeds the supply of available dry containers. Resp. to OE PFF ¶ 187; OE PFF ¶ 189.

83. NOR containers that are used to carry dry cargo do not require such enhanced care (i.e. plugging and unplugging of the units, daily monitoring, electricity, pre-trip inspections for the units and generator, and fuel for the generators). OE PFF ¶ 188; Resp. to OE PFF ¶ 188; OE App. Discovery Materials 26.

1. MSC's Tariffs and 2021 Metrics

84. During 2021, MSC's tariff contained demurrage, detention, and per diem charges (collectively "D&D charges") for reefer containers and dry containers. JSF ¶ 38.

85. During 2021, MSC's tariff did not contain separate D&D charges for non-operating reefer containers in the United States trade (NORs). JSF ¶ 38; *see also* OIH at ¶ 54; Answer at ¶ 54.

86. MSC published a rule that distinguishes between the NORs and reefers in certain other countries—Rule 300 of MSC's tariff MESU-012 (Rule 300)—and it became effective on December 9, 2015." OE PFF ¶ 291, Resp. to OE PFF ¶ 291; OE App. BEIC 188. But it is not the case that MSC always treats NORs as dry containers; for example, they are treated as dry containers in Canada, Afghanistan, and Tunisia, but in Latvia, for example, they are treated as refrigerated. OE App. BEIC 188-190, 222, 249.

87. Generally, MSC imposed a higher daily D&D rate for reefer vs. dry containers; and a lower number of free days provide for D&D for reefer vs. dry containers. OE PFF ¶¶ 190-192; Resp. to OE PFF ¶¶ 190-192; OE App. MSC Production 007; *see also, e.g.*, OE App. BEIC 3 and 41 (showing rates for dry v. reefer containers on MSC detention invoices).

88. MSC imported 20,121 NOR containers into the United States in 2021. OE App. BEIC 139-140 (March 9, 2022 letter from MSC/Santucci to FMC's Seattle Area Rep); *see also* MSC Br. at 19.

89. MSC charged demurrage or detention on 11,480 NOR shipments out of this 20,121 total. BEIC 139-140 (Santucci letter); *see also* MSC Br. at 19.

90. MSC charged some of these NORs the same D&D charges as operating reefers in 2021 in the U.S. trades. OIH ¶ 53; Answer ¶ 53; JSF ¶ 40 ("In 2021, MSC charged some of its shipper customers the Operating Reefer (OR) demurrage, detention, or per diem rate for shipments involving non-operating reefers (NORs).").

2. Investigation of MSC's NOR Practices

91. During an audit on February 8, 2022, the Commission asked MSC to "provide any other justification or reasoning for charging additional demurrage or detention for NOR containers beyond regular dry cargo equipment." OE PFF ¶ 197; Resp. to OE PFF ¶ 197; *see also* OE App. BEIC 140.

92. On March 9, 2022, Mr. Fabio Santucci, President of Mediterranean Shipping Company (USA) Inc. sent a letter to FMC in reply, writing:

Demurrage and Detention (“D&D”) rates for NOR units are by default the rates applied to DRY units. Therefore MSC USA does not apply the same D&D rates to NOR and REEFER units, except in random billing mistakes which are corrected.

This default policy of applying DRY D&D rates to NOR units is not at the moment explicitly laid down in MSC’s tariff, but it is our intention to modify our tariff entry to make this more plain.

OE App. BEIC 139-140; *see also* OE PFF ¶ 198; Resp. to OE PFF ¶ 198.

93. Mr. Marco Sidoti, the Nationwide Demurrage/Detention/Perdiem Director at MSC USA, also states in his declaration: “During 2021, it was MSC’s billing practice to treat NORs as dry containers for purposes of assessing Charges. This approach was standard, and all terminals were instructed to bill NORs at the dry rates.” OE App. MSC Production 505.

94. Nevertheless, there was confusion within MSC regarding this practice:

- In November 2021, a customer contacted MSC for assistance because a NOR had been provided with free time corresponding to a reefer container not a dry container. The customer was told that MSC had correctly applied the reefer free time. OE App. MSC Production 320, 322.
- On January 26, 2022, another customer requested that MSC revise a per diem charge billed to “regular drayage since this is non operating reefer.” OE App. BEIC 137. MSC replied “Please note that the charges are correct. The reefer rates apply to the box itself regardless of whether the reefer was non-operating or active.” OE App. BEIC 136. In response to a further question about how MSC defines dry containers versus reefers, MSC responded: “Dry containers are boxes that do not have refrigeration capabilities. All Reefers encompasses both operating and non-operating reefer units.” OE App. BEIC 134-135.
- Between December 2021 and January 2022, a customer contacted MSC for assistance to resolve 21 invoices for NORs, which had been billed based on reefer free time and rate. OE App. MSC Production 213-19. Eleven invoices, which had been billed at reefer rates and given two days of free time vs. the four days allotted for dry containers, were issued after September 16, 2021. OE App. MSC Production 221-232.

95. While they are more expensive to purchase, NORs do not require the same enhanced care as reefers. OE PFF ¶ 189, Resp. to OE PFF ¶ 189.

96. The Commission also asked MSC to detail when it “mitigates or waives demurrage or detention for NOR containers to regular dry or some other rate” to which Mr. Santucci responded: “In the instances where a billing error causes a NOR unit to be mis-rated as

a REEFER unit for demurrage and detention, MSC USA will correct and refund/credit the billed amounts as soon as the mistake becomes known.” BEIC 140; EPFF ¶¶ 199-200; Resp. to OE PFF ¶¶ 199-200.

97. Both parties agree that in “2021, on at least 925 occasions, MSC’s customers disputed the operating reefer detention or demurrage, resulting in refunds totaling \$1,201,639.80.” OE PFF ¶ 202, Resp. to OE PFF ¶ 202; *see also* OIH ¶ 60; Answer ¶ 60.
98. Both parties further agree that in “2021, on at least 1,704 occasions, operating reefer charges were applied to NORs and went undisputed resulting in MSC retaining approximately \$857,944.57 in additional revenue.” OE PFF ¶ 203, Resp. OE PFF ¶ 203; *see also* OIH ¶ 61; Answer ¶ 61.
99. Therefore, MSC assessed the operating reefer rate on NOR shipments 2,629 times in 2021. OE PFF ¶ 201, Resp. OE PFF ¶ 201.

3. MSC Billing Systems

100. Mr. Sidoti stated that he became aware of errors in invoices relating to detention, demurrage, and/or per diem charges for NORs on or about September 2, 2021. OE App. MSC Production 505.
101. Mr. Sidoti also states: “At no point did MSC intend to bill Charges for NOR containers at the reefer rate. NORs were assessed reefer Charges for a period in 2021 due solely to the described error” – the absence of a “Yes/No” flag in MSC’s internal tariff recording system, which caused the invoicing system to pick up the reefer rate vs. the NOR rate. OE App. MSC Production 507-508.
102. Mr. Sidoti explains in his declaration at ¶ 15 “During a period in 2021 (until September of that same year), the ‘Is (it) non-operational reefer? Yes/No’ flag in the general tariff was inadvertently left blank. This omission led [the invoicing system] to apply the standard reefer tariff to both operating and non-operating reefers under the general tariff.” At ¶ 16 he continues “The absence of the ‘Yes/No’ flag was due to a clerical error: it was overwritten with a blank entry during a tariff update in [MSC’s internal tariff recording system], either caused by copy and pasting new tariff conditions for multiple terminal locations or accidentally removing the ‘Yes’ flag.” OE App. MSC Production 507.

4. Billing System Adjustment and Handling of Inaccurate Invoices

103. On September 14, 2021, Mr. Sidoti emailed Tina Gregoretti, DDP Nationwide Manager at MSC USA, writing “[the tariff system] has been updated, please monitor tomorrow to make sure it is working properly.” OE App. MSC Production 162. In his declaration, Mr. Sidoti asserts that the “described error which caused the application of reefer Charges to NORs was corrected on or about September 16, 2021, and has not been an issue since.” OE App. MSC Production 508.

104. However, MSC continued to address incorrect invoices into at least 2022, at least on an isolated basis. It is not clear from the record what caused these errors. Specifically, MSC acknowledges that the following invoices, which mischarged NORs as operating reefers, to have been issued post-September 16, 2021:

- Invoices for container numbers MSC0000753 and MSC0000765, which were discussed in OE PFF ¶ 236 and OE PFF ¶¶ 239-245; MSC Br. at 23, *see also* OE App. MSC Production 220, 225, 241.
- Eleven invoices billed the reefer rate and only given two days of free time, discussed in FOF 94 above. MSC Brief at 23 (noting that “the containers discussed at BEIC PFF 221-232” are among the “only actual examples of post-September 16, 2021 mischarging of NORs as operating reefers produced by the Bureau.”).

105. Staff confusion also persisted subsequent to September 16, 2021. *See* FOF 94 above.

5. Tariff Revisions & NOR Refunds

106. MSC published separate detention and demurrage rates for NORs on March 9, 2023. OIH ¶ 83; Answer ¶ 83.

107. It appears that MSC has refunded the NOR overcharges. In 2021, on at least 925 occasions, MSC refunded customers for disputed NOR D&D overcharges, resulting in refunds totaling \$1,201,639.80. OE PFF ¶ 202, Resp. to OE PFF ¶ 202; OIH ¶ 60, Answer ¶ 60; Resp. App. 85-88. Customers who were overcharged and did not dispute the NOR D&D charges also received refunds, for a total refund amount (including those customers who did and did not dispute the charges) of \$2,059,584.37. OIH ¶¶ 60-61; OE App. Discovery Materials 31; Resp. App. 85-88.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

Respondent MSC does not contest the Commission’s jurisdiction over this case in its brief, but it is “elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy.” *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, Docket No. 98-23, 28 S.R.R. 1178, 1999 WL 35841898, at *1 (ALJ Nov. 23, 1999); *see also River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, Docket No. 96-06, 28 S.R.R. 751, 762, 1999 WL 125991, at * 17 (FMC Feb. 3, 1999) (“As the ALJ correctly held, an agency must reach jurisdictional issues before addressing the merits of a case”) (internal citations omitted).

The Shipping Act provides that the Commission, “on complaint or its own motion, may investigate any conduct, agreement, fee, or charge that the Commission believes may be in violation of this part.” 46 U.S.C. § 41302(a). Pursuant to this provision, the Commission filed the instant Order of Investigation and Hearing (“OIH”) alleging violations of 46 U.S.C. §§ 41102(c) and 40501, and the Commission assigned the case to the undersigned for adjudication. *See* 46 C.F.R. § 502.63 (procedure for OIH); *see also, e.g., Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 4 F.M.C.2d 53, 74-75, 2022 WL 3093193, at *20 (ALJ April 22, 2022) (Commission had jurisdiction over proceeding initiated by OIH alleging violation of the Shipping Act). The OIH alleges violations of the Shipping Act, which are exclusively within the Commission’s jurisdiction. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations).

On July 25, 2024, MSC filed a notice of supplemental authority, without argument, attaching *SEC v. Jarkesy*, in which the Court held that when the Securities and Exchange Commission seeks civil penalties against a defendant for securities fraud, the Seventh Amendment entitles the defendant to a jury trial. *Sec. & Exch. Comm’n v. Jarkesy*, 603 U.S. 109 (2024). MSC indicated only that it “believe[s] this to be a new development that may be relevant to this proceeding.” Notice of Supplemental Authority (July 25, 2024). To the extent MSC intends to challenge the constitutionality of Congress’s grant of exclusive jurisdiction over Shipping Act claims to the Commission, I will not address this issue here, since it is generally considered that the constitutionality of Congressional enactments is beyond the jurisdiction of administrative agencies. *Motor & Equip. Mfrs. Ass’n, Inc. v. E.P.A.*, 627 F.2d 1095, 1115 (D.C. Cir. 1979) (*citing Weinberger v. Salfi*, 422 U.S. 749, 765 (1975); *Johnson v. Robison*, 415 U.S. 361, 368 (1974)).

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, the party alleging a violation bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, the proponent of the motion or order must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), *adopted in relevant part*, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994). In this proceeding, OE has the burden of proof.

3. Confidential Treatment

Each party filed a motion for confidential treatment of certain information filed with their briefs. OE's motion attaches a copy of the parties' confidentiality agreement, which provides for confidential designation of material that contains trade secrets, confidential or proprietary research, development, marketing, commercial, or financial information, including information regarding customers, their financial status or activities. The parties marked the confidential information in their appendices and, where necessary, in their briefs. The categories of confidential material include documents describing MSC's internal business processes, rates, information regarding specific non-party customers, and information produced by subpoenaed parties for which confidential treatment was requested. See BEIC Mot. for Confidential Treatment, April 3, 2024; Respondent's Mot. for Confidential Treatment of Certain Materials, May 3, 2024.

There is a strong presumption in favor of public access to judicial proceedings. *In re McCormick & Co., Pepper Prods. Mktg. & Sales Practices Litig.*, 316 F. Supp. 3d 455, 463 (D.D.C. 2018). Public access to judicial records is not limitless, however, and may be denied "to protect trade secrets . . . and to minimize the danger of an unfair trial by adverse publicity." *U.S. v. Hubbard*, 650 F.2d 193, 315-16 (D.C. Cir. 1980).

The Commission requires parties to justify confidential treatment by motion. 46 C.F.R. § 502.5(b). The parties have done so, and their redactions are reasonably limited to sensitive information of the type normally granted confidential treatment in proceedings before the Commission. The parties' motions for confidential treatment are therefore **GRANTED**. No confidential information is included in this Initial Decision, although there are citations to confidential materials in the parties' appendices.

B. Discussion

1. Invoicing Customs-Agent "Notify Parties" for D&D Charges – Alleged Violation of 46 U.S.C. § 41102(c)

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c).

On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a § 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

(a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;

- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The first and third elements are not disputed. As to the first element, there is no dispute that MSC is an ocean common carrier. FOF 1-2; OIH ¶ 1; Answer ¶ 1. As to the third element, MSC's purportedly unlawful invoices were charged to V. Alexander, J Connor, and Welke (collectively the "Notify Parties") in connection with containers that MSC had received, handled, stored, and delivered. FOF 27. As to the fifth element, whether any particular shipper was harmed is relevant neither to the issue of whether MSC committed a violation, nor to the assessment of any penalty – in Commission-instituted proceedings, unlike in private complaint proceedings, it is not necessary that the violation of a statute result in harm to the public for the respondent to be liable. *Stallion Cargo, Inc. – Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, Docket No. 99-18, 29 S.R.R. 655, 678 (FMC Oct. 18, 2001). The dispute arises in connection with the second and fourth elements: whether MSC invoices notify parties based on its "Merchant Clause" on a normal, customary, and continuous basis – that is, whether such charges are a "practice" or "regulation" – and whether such charges are unjust or unreasonable.

a. Normal, Customary, and Continuous Basis or "Practice"

To establish that a carrier's act is a "regulation or practice" for purposes of § 41102(c), the evidence must establish that the claimed acts or omissions are occurring on a normal, customary, and continuous basis. 46 C.F.R. 545.4 (b). Section 41102(c) is not intended to cover "an isolated error," but rather a "pattern of behavior." *Kamara v. Honesty Shipping Service*, Docket No. 1841(I), 29 S.R.R. 321, 322 n.8, 2001 WL 898739, at *2 n.8 (SO July 26, 2001), admin. final Sep. 4, 2001. At issue is MSC's use of its "Merchant Clause" to invoice the Notify Parties for D&D charges. MSC's bill of lading defines the term "Merchant" to include "the Shipper, Consignee, holder of this Bill of Lading, the receiver of the Goods and any Person owing, entitled to or claiming the possession of the Goods or of this Bill of Lading or anyone acting on behalf of this Person." FOF 10. The bill of lading further provides that "[e]very Person defined as 'Merchant' is jointly and severally liable towards the Carrier for all the various undertakings, responsibilities, and liabilities of the Merchant under or in connection with this Bill of Lading and to pay the Freight due under it without deduction or set-off." FOF 12. OE argues that the Merchant Clause itself is an unreasonable practice. *See* OE Brief, p. 45. But OE does not provide examples or seek civil penalties for any instances in which the Merchant Clause was part of the bill of lading in the absence of an invoice for D&D charges sent to a notify party allegedly not responsible for payment of those charges.

MSC's policy was to bill the "notify party" when either (a) the consignee was a forwarder located outside of the United States; or (b) the consignee had no credit arrangement with MSC. FOF 16. As a result of this policy, MSC billed the three notify parties at issue here: V. Alexander, an ocean freight forwarder (8 D&D invoices), J. Connor, an NVOCC/ocean freight forwarder (5 D&D invoices), and Welke USA, a customs brokerage firm (5 D&D invoices). FOF 6-8, 21, 23, 25, and 27. These entities were not the shippers or consignees with respect to the shipments at issue in this case, and asserted that they were listed as the notify party for the purpose of handling customs clearance only, not moving or arranging for the movement of any shipments. FOF 22, 24, 26, 34, 58, 64. In response to emails from the notify parties stating that they were not responsible for these charges, MSC employees confirmed that these invoices were not in error, that it was MSC's practice to bill notify parties for D&D charges, and that MSC would not rebill the charges to the shipper or consignee without written confirmation that those entities would accept the charges. FOF 33, 36, 38, 42, 43, 68. It was MSC's written policy to bill notify parties in the circumstances here, and it persisted in doing so even with the Notify Parties in this case protested. This demonstrates that billing D&D to notify parties was not an isolated error, but a consistent policy – a "practice" for purposes of § 41102(c).

b. Unjust or Unreasonable

The Shipping Act leaves to the Commission the determination of whether a practice is "just and reasonable." *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm'n*, 106 F.4th 1113,1115 (D.C. Cir. 2024) (citing 46 U.S.C. § 41102(c)). A determination of whether a practice is unreasonable is based on a close reading of the facts and setting of the controversy. *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, Docket No. 94-10, 1996 WL 264720, at *9 (FMC May 15, 1996). The parties propose various standards by which to measure the reasonableness of MSC's billing practice, including the *Volkswagenwerk* and *WGMA* tests, the incentive principle, and common law principles of agency and contract.

(1) The *Volkswagenwerk* and *WGMA* Tests

OE argues that the correlation of the benefit conveyed to a party to the charges billed to that party must be reasonable. OE Brief, p. 47 (citing *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, Docket No. 11-12, 2014 WL 7328475, at *9 (FMC Nov. 20, 2014)). Since MSC did not perform any actual service for or confer any benefit on the Notify Parties, OE maintains that the D&D charges were unreasonable. OE Brief, p. 48. In *Kawasaki*, the case relied on by OE, the Commission compares two tests, the *Volkswagenwerk* test and the *WGMA* test. OE's benefit-correlation argument is based on the *Volkswagenwerk* test, which specifically addresses the reasonableness of charges assessed by a marine terminal operator ("MTO") for terminal services. *Kawasaki*, 2014 WL 7328475, at *11 (citing *New Orleans Steamship Ass'n v. Plaquemines Port, Harbor & Terminal Dist.*, 28 F.M.C. 556, 566 n.40 (FMC 1986), *aff'd sub nom. Plaquemines Port, Harbor & Terminal Dist. v. Federal Maritime Comm'n*, 838 F.2d 536 (D.C. Cir. 1988) (citing *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Comm'n*, 390 U.S. 261, 282 (1968))).

Assuming *arguendo* that this test is also applicable to D&D charges assessed by a carrier, it does not, in fact, stand for the proposition that any charge levied by an MTO must be directly related to a service provided to the party charged. In *Kawasaki*, for instance, the charge at issue was a Cargo Facility Charge assessed against all containers or other cargo discharged from or loaded onto vessels at leased and public berths at the Port of New York and New Jersey. *Kawasaki*, 2014 WL 7328475 at *1. The complainant argued that fees charged by MTOs must effectively be “‘user charges’ for which an identified, measurable service must be rendered to the payor.” *Id.* at *9. But the Commission noted that a “review of relevant cases illustrates that the mere fact that a charge is imposed by a port in exchange for general benefits from port facilities or for general services provided by the port, rather than a specific, defined service provided to the payor, does not render the charge unreasonable *per se* . . .” *Id.* at *10. The relevant question is “whether the charge levied is reasonably related to the service rendered” based on a comparative cost/benefit analysis of concurrent users of a facility. *Id.* at *11.

It is easy to see how this *Volkswagenwerk* test is applicable in situations where an MTO is distributing charges for general terminal services among direct users of those services in situations where the services to each user cannot be specifically defined and measured. It is less clear how this test is applicable in the situation here, where there is a directly measurable service (D&D charges) and identifiable users (the shippers and consignees); where the dispute is not about the proportionality of that fee; and where it is undisputed that MSC is not providing any service directly to the Notify Parties, but rather is providing services to their mutual customers.

In *Kawasaki*, the Commission explains that there is a second test – one more applicable to the instant situation – which analyzes whether “it is reasonable to hold indirect users liable for the debts incurred by their principals, the direct users.” *Id.* at *12. The Commission noted that under this framework (articulated in *W. Gulf Mar. Ass’n v. (“WGMA I”)* it “has consistently upheld” collection of fees from the agents of direct users of terminal facilities “as a reasonable means of collecting tariff fees due.” *Id.*, citing *WGMA I*, Docket No. 75-21, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC Aug. 16, 1978).

In *WGMA I*, the Commission upheld the port’s practice of holding vessel agents liable for the wharfage charges incurred by their principals, the vessel owners, finding that the vessel agents were “users” of terminal facilities and derived benefits from those facilities because, even though they did not directly use the facilities, their principals did. 21 F.M.C. at 248-49. MSC urges adoption of the *WGMA* standard, arguing that the rationale warrants the same result here: “benefits [to the Notify Parties] from the contract evidenced by the bill of lading in the form of compensation for customs clearance and/or other services provided is indistinguishable from the billing of agents that the Commission repeatedly held reasonable in the past.” MSC Brief, p. 15.

But *WGMA I* is easily distinguished from this case, not only in terms of the rationale, but also the facts. As already noted, *WGMA I* (and *Volkswagenwerk*) address charges assessed by MTOs, not D&D charges assessed by carriers. Even if these cases articulated the appropriate test for evaluating the reasonableness of D&D charges, the *WGMA I* rationale is not applicable here. In *WGMA I*, the Commission explained why the practice of billing vessel agents was “reasonably related to the ends in view”:

The practices of imposing the billing and collection of wharfage on the party who can most efficiently effectuate and enforce the same, insuring all revenues due the port are collected by extending the liability for wharfage to all persons who derive a benefit from the use of the wharves, and looking first to the parties over whom the port has the highest degree of collection leverage, all bear a reasonable relation to these stated ends.

WGMA I, 21 F.M.C. at 249. The record does not support MSC's reliance on this rationale. First, there is no evidence that the Notify Parties can "most efficiently effectuate and enforce" D&D. The only evidence in the record regarding their role in the movement or return of containers comes from their own statements to MSC explaining that they handled customs clearance and had no role in the movement of containers. FOF 34, 64, 77; see also FOF 58. Nor is there any evidence that the Notify Parties are in the best position to collect these charges. As Welke explained, once it issued documents to its clients showing proof of CBP clearance, its services ended and it had no role in coordinating the pick up by a domestic carrier of the containers. FOF 64. MSC does not explain how the Notify Parties were in the best position to manage the collection of D&D charges when their customs-clearance services ended prior to the accrual of those charges.

Nor is it apparent from the record that the Notify Parties are the parties over whom MSC "has the highest degree of collection leverage." According to MSC's internal communications, the practice of billing the Notify Parties persisted, even when met with resistance, because MSC did not have a convenient way within its invoicing system to rebill the consignees. OE App. MSC Production 301. This rationale does not evince any consideration, at the time of invoicing, of actual collection leverage. It seems the primary consideration was which party would be most administratively convenient to bill, which does not support MSC's comparison to the port's approach in *WGMA I*. Putting even more distance between this case and *WGMA I*, there the Commission noted that the vessel agents had manifested consent to pay their principals' charges:

The best justification under agency law to find the vessel agents liable for wharfage charges is their prior course of conduct, normal business practices, and continuing and voluntary use of the facility, all of which indicate that they have in fact separately agreed to be liable. The prior practice between the parties has been that the agents established independent credit arrangements with the port on behalf of their principals... .

WGMA I, F.M.C. at 250. Nothing in this record shows that the Notify Parties established credit arrangements with MSC (Welke, in fact, protested when MSC established an account) or in any other way demonstrated an agreement to be liable for their customers' D&D charges. FOF 65.

Similarly, in *WGMA II*, which MSC also cites, the ports dealt with the vessel agents directly as principals for the purpose of assigning berths and cargo space, and the vessel agents had agreements in place with their principals for the purpose of paying the port charges. *W. Gulf Mar. Ass'n v. Port of Houston Auth.*, Docket No. 74-15, 22 F.M.C. 423, 429; initial decision adopted by Commission, 22 F.M.C. 420 (Jan. 28, 1980) ("*WGMA II*"). In this case, there is no evidence that the Notify Parties had any role in cargo movements related to D&D charges, they disclaim any such role, they had no credit relationship with MSC for the purpose of paying such

charges, and there is no evidence that they had any arrangement with their principals to pay those charges. In both *WGMA I* and *WGMA II*, the vessel agents were the agents of the vessel owners for the purpose of coordinating the terminal services for which the MTOs were charging; here, the Notify Parties were not involved in arranging for the movement of the containers for which MSC was assessing D&D.

So, neither the *Volkswagenwerk* test, advanced by OE and applicable to fees charged by MTO's to direct users of terminal services, nor the *WGMA* test, advanced by MSC and applicable to fees charged by MTO's to indirect users, provides the best guidance in determining whether MSC's practice of charging D&D to the Notify Parties was reasonable. OE also urges application of the "incentive principle" codified in the Commission's Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 (FMC May 18, 2020) ("D&D Interpretive Rule"). The D&D Interpretive Rule applies to any charges, including "per diem," assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries related to the use of marine terminal space or shipping containers, not including freight charges. 46 C.F.R. § 545.5(b). In this case, MSC (an ocean common carrier) charged the Notify Parties under its "Demurrage/Storage - Detention - Per Diem" rule (*see, e.g.*, BEIC 000003), and so the D&D Interpretive Rule is applicable.

(2) The Incentive Principle and Fair Notice

On May 18, 2020, the Commission issued the D&D Interpretive Rule. "The rule followed years of complaints from U.S. importers, exporters, transportation intermediaries, and drayage truckers that ocean carrier and marine terminal operator demurrage and detention practices unfairly penalized shippers, intermediaries, and truckers for circumstances outside their control." 85 Fed. Reg. at 29638. The D&D Interpretive Rule provides "guidance as to what [the Commission] may consider in assessing whether a demurrage or detention practice is unjust or unreasonable," with the aim of promoting "fluidity in the U.S. freight delivery system by ensuring that demurrage and detention server their purpose of incentivizing cargo and equipment velocity... ." *Id.* at 29638-29639. It is this rule, designed explicitly to guide the analysis of "reasonableness" in the context of D&D charges, that provides the most appropriate starting point for assessing MSC's D&D charges to the Notify Parties here.

MSC argues that since the D&D Interpretive Rule was published on May 18, 2020, it was too late to put MSC on notice that its invoices to the Notify Parties, 11 of which were issued prior to that date, would run afoul of the guidance. MSC Br., pp. 5-7; *see also* FOF 27. MSC argues that it did not have "fair notice" that its practice of billing the Notify Parties was unreasonable, and therefore a penalty is inappropriate. MSC Br., pp. 5-6. In support of this argument, MSC cites *F.C.C. v. Fox Television Studios, Inc.*, in which the Court explained:

A fundamental principle in our legal system is that laws which regulate persons or entities must give fair notice of conduct that is forbidden or required. *See Connally v. General Constr. Co.*, 269 U.S. 385, 391, 46 S.Ct. 126, 70 L.Ed. 322 (1926) ("[A] statute which either forbids or requires the doing of an act in terms so vague that men of common intelligence must necessarily guess at its meaning

and differ as to its application, violates the first essential of due process of law”); *Papachristou v. Jacksonville*, 405 U.S. 156, 162, 92 S.Ct. 839, 31 L.Ed.2d 110 (1972) (“Living under a rule of law entails various suppositions, one of which is that ‘[all persons] are entitled to be informed as to what the State commands or forbids’ ” (quoting *Lanzetta v. New Jersey*, 306 U.S. 451, 453, 59 S.Ct. 618, 83 L.Ed. 888 (1939) (alteration in original))).

567 U.S. 239, 253 (2012). But the facts of *Fox* are instructive. In that case, the FCC was enforcing 18 U.S.C. § 1464, which authorizes a fine or period of imprisonment for someone who “utters any obscene, indecent, or profane language” on radio or television. *Id.* at 243. The standard for evaluating obscenity is famously vague. *Jacobellis v. State of Ohio*, 378 U.S. 184, 197 (1964) (Stewart, J. concurring) (“I know it when I see it”). It is certainly vaguer than the standard of “just and reasonable” in the specific commercial context of ocean shipping at issue here.

In *Fox*, the Court explained that, from 1978 to 1987, the FCC brought no indecency enforcement actions, limiting the definition of indecency to the test articulated *FCC v. Pacifica Foundation*, 438 U.S. 726 (1978), which observed that an “occasional expletive” might not justify any sanction. *Id.* at 244-245. In 1987, the FCC decided the standard was too narrow, and that it would go beyond a narrow list of words or pictures and examine the whole context of a broadcast to determine if it was indecent. *Id.* But the Court observed that it still excluded “occasional expletives” following its 2001 policy statement on the subject. *Id.* at 246. Then, at the Billboard Music Awards in 2002 and 2003, several speakers used the F-word during the broadcast in isolated incidents. The FCC later issued an order finding even isolated use of the F-word indecent and retroactively sought to fine Fox under this new standard. *Id.* at 248.

In contrast, this is not a situation where the Commission has previously stated that billing notify parties for D&D charges is an acceptable practice and has now done an about face. Indeed, as MSC points out, the Commission observed that while one of its goals for the Interpretive Rule “was to emphasize the importance of ocean carriers and marine terminal operator bills aligning with contractual responsibilities,” the Interpretive Rule left open such questions to be addressed in the context of particular facts, considering all relevant arguments. MSC Br., p. 8 (citing Notice of Inquiry – Vessel-Operating Common Carrier Definition and Application of the Term “Merchant” in Bills of Lading, Docket No. 20-16 at 4 (FMC Oct. 7, 2020)).

It is not possible, by prospective rulemaking, to draw the line of “reasonableness” around every question that may arise under 46 U.S.C. § 41102(c). The Commission’s approach of allowing its interpretation of the statute to be fleshed out in the adjudication process is consistent with the well-established principle that when, as an incident of its adjudicatory function, an agency interprets a statute, it may apply that new interpretation in the proceeding before it. *See NLRB v. Wyman-Gordon*, 394 U.S. 759, 765-766, (1969) (plurality opinion); *see also NLRB v. Bell Aerospace Co.*, 416 U.S. 267, 294-295 (1974); *Tennessee Gas Pipeline Co. v. FERC*, 606 F.2d 1094, 1115-1116 (D.C. Cir.1979) (reading *Bell Aerospace* as affording an agency “broad discretion to announce policy in adjudication”).

As with *Fox*, the Commission cases cited by MSC involve situations where the newly applied standard contradicts previous guidance, not merely where there is an absence of previous

guidance, as is the case here. In *Sea-Land Service*, the ALJ found that the Bureau of Enforcement failed to give notice of an interpretation that licensed ocean freight forwarders were required to manually sign the certifications they provided to carriers to indicate they had performed the required services that entitled them to compensation. *Sea-Land Service, Inc. – Possible Violations of Sections 10(b)(1), 10(b)(4), and 19(d) of the Shipping Act of 1984*, Docket No. 98-06, 29 S.R.R. 1109, 1164-1165, 2003 WL 252861 (ALJ Jan. 30, 2003). The ALJ noted that this requirement was contrary to the rule allowing such certifications to be made by endorsement on a compensation check, which was typically done by means of a “for deposit only” stamp, and not a manual signature, was also contrary to a “study guide” introduced into evidence by BOE that showed signatures did not need to be handwritten, and that the Uniform Commercial Code did not require written signatures. *Id.* at *71. Since BOE’s interpretation was contrary to commercial practice, the UCC, and the evidence that BOE submitted, there was no fair notice of the novel interpretation. The same considerations do not exist in this case. OE has not submitted conflicting evidence, nor is there evidence in the record or authority cited by MSC (as discussed below) that shows billing of the Notify Parties to be a reasonable commercial practice.

And in *Jorge Reynoso*, the ALJ found the “vague and non-specific” warnings from an FMC investigator that the respondent’s activities could be considered freight forwarding (for which it did not have a license), did not support BOE’s argument for imposition of the maximum penalty. It was not relevant to the determination of whether the respondent had violated the law – it was part of the penalty analysis. The ALJ did find that the respondent was unlawfully engaged in freight forwarding and issued a cease-and-desist order. *Jorge Reynoso Import and Export Co., – Possible Violation of Section 44(a), Shipping Act, 1916*, Docket No. 83-36, 22 S.R.R. 1558, 1567-1589 (ALJ Jan. 14, 1985).

Finally, the D.C. Circuit has expressly addressed the permissible retroactivity of the D&D Interpretive Rule:

The Commission permissibly applied Section 545.4 retroactively to Crocus's case. The law has long been settled that when an agency interprets a statute that it is charged with administering “as an incident of its adjudicatory function[,]” it “may apply that new interpretation in the proceeding before it.” *Clark-Cowlitz Joint Operating Agency v. FERC*, 826 F.2d 1074, 1081 (D.C. Cir. 1987) (*en banc*) (citing *NLRB v. Wyman-Gordon*, 394 U.S. 759, 765–766 (1969) (plurality opinion)). That is true regardless of whether the agency had previously “memorialized [its] interpretation” in a rule. *St. Luke's Hosp. v. Sebelius*, 611 F.3d 900, 907 (D.C. Cir. 2010). Any retroactivity of the interpretive rule itself is “completely subsumed in the permissible retroactivity of the agency adjudication.” *Id.* (quoting *Health Ins. Ass'n of America, Inc. v. Shalala*, 23 F.3d 412, 424 (D.C. Cir. 1994)). For that reason, Crocus's threshold argument that, as an interpretive rule, Section 545.4 may only be applied prospectively is foreclosed by precedent.

Crocus Invs., LLC v. Fed. Mar. Comm'n, Docket No. 21-1199, 2022 WL 3012275, at *2 (D.C. Cir. July 29, 2022).

The D&D Interpretive Rule adopts the “incentive principle,” which recognizes that ocean carriers impose D&D charges to encourage prompt return of containers and compensate the ocean carrier for the opportunity cost of late return:

In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

46 C.F.R. § 545.5(c)(1).

The party responsible for retrieving a loaded container from a port and delivering its cargo to the consignee is allotted a certain number of days to return the empty container and any related equipment before detention charges begin to accrue. The amount of this so-called “free time” is either set forth in the ocean carrier's tariff or established by contract. D&D charges accrue after free time expires. *See, e.g.*, OE App. BEIC 3 (showing daily D&D rates for different types of containers following the expiration of free time). The D&D Interpretive Rule identifies examples of specific considerations relevant to the reasonableness of those charges, such as: the extent to which D&D practices relate to the availability of cargo for retrieval, how carriers provide notice that cargo is available for retrieval, impact of government inspections, and the clarity of D&D policies. 46 C.F.R. § 545.5(c)-(e).

OE argues that the Notify Parties have no role in moving the cargo, “no control over the timely pick up or drop off of the containers listed in MSC’s bills of lading,” and so cannot be incentivized by the D&D charges. OE Brief, p. 51. OE is correct that the Notify Parties disclaimed any role in moving the cargo on MSC’s bills of lading. *See* FOF 34 (“[V. Alexander is] neither the shipper or consignee on the BOL and only handle the clearance for these accounts”), 58 (“[o]cean carrier will bill us the container detention charges because we are a Notify on the B/L. We are the Notify Party only for the sole purpose of receiving arrival info to clear Customs. We don't move the freight. We don't organize the delivery. Thus, we have zero control over the incurring of detention, but they threaten our freight account if we don't pay, and we have to waste resources essentially being their collection agency or we take the hit. All five examples attached are involving MSC”), and 64 (“Welke has an agreement with Egger to secure the release of the import cargo from Customs custody and provide MSC Port Everglades proof of CBP clearance and delivery order to the consignee of the containers. Once we issue those documents, we have completed our services. We are not responsible for coordinating the pick up by a domestic carrier of the containers for delivery since the ocean BOL terms of service included delivery to the consignee door”). And there is no countervailing evidence in the record that the Notify Parties had any role in coordinating the movement of the containers that are the subject of MSC’s charges. Under these circumstances, the record shows that billing the Notify Parties for D&D charges could not have incentivized freight fluidity.

(3) Agency and Contract Principles

Having concluded that OE is correct that billing D&D charges to the Notify Parties did not have an incentivizing effect on freight fluidity, that does not end the discussion. The incentive principle is not a bright line rule that replaces the Shipping Act's "reasonableness" standard, which requires the consideration of "any additional or countervailing arguments or evidence raised by the parties in a particular case," and for each case to "be decided on [its] particular facts. *Evergreen*, 106 F.4th at 1117-1118 (citing D&D Interpretive Rule, 85 Fed. Reg. at 29641).

While MSC does not directly counter OE's incentive-principle argument, it maintains that it was "reasonable to conclude that the entity designated to receive notice of arrival is acting on behalf of the consignee with respect to the shipment and is therefore an appropriate entity to receive an invoice." MSC Br., p. 13. It is not clear why this should be the case. MSC is making an argument based on apparent authority, and it is correct that the Notify Parties are agents for the consignees. But agents are not necessarily agents for all purposes; they act within the scope of their authority. As a general principle, it is a factual question whether a party would believe that an agent has apparent authority to do a particular act. Restatement (Third) of Agency § 2.03 Comment d; *see also In re M/V Rickmers Genoa Litig.*, 622 F. Supp. 2d 56, 73 (S.D.N.Y.) (federal maritime common law embraces principles of agency; in specifying the contours of federal maritime common law agency principles, courts have looked to the Restatement), *opinion adhered to on reconsideration*, 643 F. Supp. 2d 553 (S.D.N.Y. 2009), and *aff'd sub nom. Chem One, Ltd. v. M/V RICKMERS GENOA*, 502 F. App'x 66 (2d Cir. 2012).

When a third party knows the actor is an agent and knows the identity of the principal, the presence of apparent authority turns on the tie between these signals and the principal in the mind of the reasonable third party. Restatement, § 2.03, Comment d. A well-known industry custom may also make it reasonable for a third party to believe that an agent has authority even though, unbeknownst to the third party, the principal has restricted the agent's authority, shrinking it below the industry norm. Such a custom does not supersede inferences that a reasonable third party would draw about a particular agent's authority on the basis of facts known to the third party. *Id.*

There is nothing on the bills of lading, or anywhere else in the record, that would suggest to MSC personnel that the Notify Parties were agents for the purpose of addressing issues related to D&D charges. This stands in contrast to the vessel agents in *WGMA I* and *WGMA II*, with whom the MTO had a practice of dealing for purposes of coordinating terminal services on behalf of their principals. *WGMA I*, 21 F.M.C. at 250; *WGMA II*, 22 F.M.C. at 429. If MSC is arguing that notify parties, in general, are understood to have authority related to coordinating movement of containers and paying associated D&D charges, it has not presented any evidence or authority to that effect. And in terms of invoicing specifically, such an argument is contrary to the authority cited by OE, which establishes that a "notify party" is simply the party to be notified when the goods arrive at their destination. The fact that a party is listed as a notify party on a bill of lading raises no presumption that the party is, for example, the intended consignee. *Dynamic Worldwide Logistics, Inc. v. Exclusive Expressions, LLC*, 77 F. Supp. 3d 364, 367 n.3 (S.D.N.Y. 2015) (citing to *Columbia Trading Corp. v. Moore-McCormack Lines, Inc.*, 374 F.2d 864, 865 (2d Cir. 1967)).

Consistent with the absence of any presumption that a party listed on a bill of lading as the party to be notified when a container arrives at the port is automatically a party to the bill of lading, general contract-law principles “provide that one party cannot enforce a contract against another who did not assent to be bound by its terms and conditions.” *Intermodal Motor Carriers Conf. v. Ocean Carrier Equip. Mgmt. Ass’n Inc.*, Docket No. 20-14, 6 F.M.C. 2d 45, 85, 2023 WL 1963455 (ALJ Feb. 6, 2023), *aff’d* 2024 WL 641501 (FMC Feb. 13, 2024). This is no less applicable in the maritime context: a bill of lading is a maritime contract between the shipper-consignor and the carrier, its terms and conditions bind the shipper and all connecting carriers, but only bind notify parties if they consent to be bound. *Dynamic Worldwide Logistics*, 77 F. Supp. 3d at 373-374 (citing *In re M/V Rickmers Genoa Litig.*, 622 F. Supp. 2d 56, 71 (S.D.N.Y. 2009)). A party “cannot unilaterally employ definitions to bind another by provisions to which the other has not consented to be bound.” *U.S. v. Waterman S.S. Corp.*, 471 F.2d 186, 191 n. 4 (5th Cir. 1973) (rejecting carrier’s argument that since the bill of lading defined “shipper” as “one for whose account the goods were shipped,” the government, a third-party beneficiary of the bill of lading, was a “shipper” and thus bound by the bill of lading’s limitation period).

This principle has been held to be true in the specific context of “merchant clauses.” In *Rickmers*, the court found that, while a group of defendants fell within the scope of the relevant merchant clause, since there was no evidence they actually consented to be bound by the bills of lading, the contract claims against them had to be dismissed, even where they were an intended third-party beneficiary of the bills of lading. *Rickmers*, 622 F. Supp. 2d at 72-73. Similarly, in *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, the carrier claimed an apparel company had failed to pay the full amount due for the shipment. The carrier’s complaint only stated that it had transported cargo for the company’s benefit, but its invoices were to a trucking company, and the bills of lading did not indicate the apparel company was a party to or had otherwise agreed to be bound by the terms of the bill of lading. The court found the carrier did not adequately allege contract privity and dismissed the case for failure to state a claim, noting that even if the company qualified as a “merchant” under the carrier’s merchant clause, in the absence of consent to be bound, the terms of the bill of lading were unenforceable. *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, 550 F. Supp. 3d 57, 65–66 (S.D.N.Y. 2021). In the absence of any evidence from which to conclude the Notify Parties had apparent authority with respect to the movement of containers, and in light of the well-established authority that parties who do not consent to a bill of lading cannot be bound by its terms, MSC’s practice of billing the Notify Parties for D&D charges was not reasonable from the point of view of general agency or contract principles on which MSC relies.

Next, the parties argue over whether the Notify Parties had a beneficial interest in the containers. Commission regulations define a beneficial interest to include:

[A] lien or interest in or right to use, enjoy, profit, benefit, or receive any advantage, either proprietary or financial, from the whole or any part of a shipment of cargo where such interest arises from the financing of the shipment or by operation of law, or by agreement, express or implied. The term “beneficial interest” shall not include any obligation in favor of an ocean transportation intermediary arising solely by reason of the advance of out-of-pocket expenses incurred in dispatching a shipment.

46 C.F.R. § 515.2(b). MSC contends that it was appropriate to bill the Notify Parties because each of them, pursuant to their terms of service, purported to have a lien on their customers' property coming into their actual or constructive possession or control for amounts owed for charges related to any of the customer's shipments. MSC Br., pp. 11-12. OE argues that MSC misconstrues the regulation because, essentially, the Notify Parties' liens do not arise out of the financing of the shipment. OE Reply Br., pp. 17-18.

I do not find it necessary to determine whether the Notify Parties did, in fact, have a lien on the containers. Even if they did, the authority relied on by MSC to argue that such an interest, standing alone, renders its billing practice in this case reasonable is unpersuasive. MSC relies on *Meat Importers Council of America, Inc. v. Australia-Pacific Coast Rate Agreement*, in which carriers began imposing a Terminal Handling Charge ("THC") on meat imports to the United States from New Zealand and Australia. 26 S.R.R. 170, 173, 1992 WL 231277 (ALJ 1992), *aff'd* 26 S.R.R. 371 (FMC 1992). The carriers informed the industry in advance of these new charges, stating that the charges would be billed to the meat importer consignees unless it had been prepaid by the New Zealand/Australia shippers. While the contracts generally in use between the meat shippers and the U.S. importers required prepayment of freight charges, the shippers did not pay the THC, and the carriers presented this charge as a "collect" charge on the bills of lading. The ALJ stated that, in the normal course, advance notice of this charge was provided to the importer consignees five days in advance of delivery. The ALJ rejected the Section 10(b)(6)(D) (predecessor to § 41102(c)) argument that the carriers were unreasonably refusing to honor the contracts between importers and shippers (which required pre-payment of freight charges). The ALJ concluded that this was in essence a contractual claim as between the shippers and the importers (for the courts to decide) and that the carriers were not bound by this arrangement because they had not agreed to it. *Id.* at 173-174.

This ruling does not advance MSC's argument; instead, it reinforces the idea that parties may not be bound by contracts to which they do not consent to be bound. The specific language MSC relies on has nothing to do with unreasonable practices – rather, it is about undercharges under Section 10(b)(1), which prohibits collection of less than the tariff rate:

Another interesting fact is that several...courts have observed that the matter as to which person pays freight due as between shippers, forwarders and consignees is not something to concern the shipping acts, which only require that the correct freight be paid by someone. See *Med-Span Shipping Services, Ltd. v. Jerry Jones Mack, Inc.*, 442 F. Supp 904, 907 (S.D.N.Y 1978) (Shipping Act, 1916 'requires merely that the carrier collect a full freight charge. It does not purport to impose the full freight charge on any particular party.'); *Farrell Lines Inc. v. Titan Industrial Corp.*, cited above, 306 F. Supp at 1349 ('As long as someone is liable for the full amount of the freight, so that there is no overcharge or undercharge, the public interest is protected and the statutes [i.e., the Shipping Act, 1916 and the Transport Act] are satisfied.')

Id. at 173. The case cited simply has nothing to do with § 41102(c). And besides, MSC's argument that the Notify Parties, by virtue of their foresight in establishing a mechanism to be reimbursed for costs incurred on behalf of their customers, thereby render any such costs

“reasonable,” is troubling. It is like arguing that car insurance renders speeding reasonable because there is a convenient means to pay for its consequences.

Finally, MSC argues that a district court has enforced its merchant clause against an agent. MSC Br., p. 16 (*citing Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, 46 F. Supp. 3d 294, 296 (S.D.N.Y. 2014)). Initially, I will note that the district court did not address any Shipping Act considerations – indeed it could not have, since such issues are exclusively within the jurisdiction of the Commission. The district court did not address the reasonableness of the merchant clause under the Shipping Act – it simply presumed it was enforceable and decided that, since AA Cargo was a party to the bill of lading as an agent or otherwise, it was liable for the charges. *AA Cargo Inc.*, 46 F. Supp. 3d at 296.

Also, the factual circumstances in *AA Cargo* were very different. MSC had issued four freight invoices to defendant that listed “AA CARGO INC.” as the party to be invoiced and issued four booking confirmations to defendant that listed “AA CARGO INC.” as the shipper. *Id.* The four corresponding bills of lading listed the shipper as defendant operating as an “agent” or “as agents” for other parties. MSC claimed that it “did not become aware of the existence of a third-party” principal on whose behalf defendant was acting “until after MSC agreed to carry the cargo.” *Id.* AA Cargo claimed that it had identified the shipper principals on whose behalf it was acting. Since it was acting as an agent for a disclosed principal, AA Cargo argued that it was neither a party to the contract nor liable for the performance of the contract. MSC argued that it entered contracts with defendant only, not defendant as an agent for other parties. So, in *AA Cargo*, the agent was either a party to the bill of lading in its own right, or as an agent for a principle on whose behalf it had arranged carriage with MSC. The Notify Parties in this case did not arrange anything with MSC, nor had they manifested consent to be bound by the bill of lading terms either in their own name or as agent for another party.

A final note about MSC’s arguments with respect to agency and contract law, beneficial interest, and proper allocation of terminal charges – they all appear to be post-hoc rationalizations. There is no evidence in the record that MSC’s policy of billing the Notify Parties was contemporaneously based on any consideration other than its own administrative convenience. The Notify Parties are simply the entity that, in certain situations, it is easiest for MSC to send a D&D invoice to, whether or not they have anything to do with the movement of containers. This approach does not incentivize freight fluidity nor is it supported by well-established agency principles or case law regarding the enforceability of bills of lading, and so the record amply supports a finding that MSC’s billing of the Notify Parties was unreasonable.

c. Statute of Limitations

MSC argues that some of the alleged violations are barred by the statute of limitations, and here it is on firmer footing. MSC Br., pp. 16-18. Section 41109 authorizes the Commission, after notice and opportunity for a hearing, to assess civil penalties for violations of the Shipping Act. 46 U.S.C. § 41109(a)(1). “A proceeding to assess a civil penalty or order a refund of money under this section must be commenced within 5 years after the date of the violation.” 46 U.S.C. § 41109(e). Under the Commission’s rules, such a proceeding is commenced by issuance of an

Order of Investigation and Hearing. 46 C.F.R. § 502.63(a). Five of the invoices issued to V. Alexander that are the subject of the OIH are dated February 2, February 12, April 11, and May 2, 2018. FOF 27. The OIH was issued on August 10, 2023.

OE argues that MSC's unreasonable practices are not limited to issuing invoices, but include all collection efforts based on those invoices, which occurred between March and July of 2021, within the limitations period. OE Brief, p. 43. Both parties cite to *Maheer Terminals, LLC v. The Port Authority of New York and New Jersey* for the proposition that the statute of limitations begins to run when the respondent commits an act that injures a plaintiff's business. The statute of limitations is an affirmative defense, and so the respondent bears the burden of establishing the essential element of the defense, which is that the violation occurred more than five years prior to the issuance of the OIH. *Maheer Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 08-03, 2013 WL 9808667, at *2-4 (FMC Jan. 31, 2013).

There is no dispute that the V. Alexander invoices issued in February, April, and May 2018 were issued more than five years prior to the issuance of the OIH, and so if the violation of § 41102(c) is measured from the issuance of invoices, then § 41109(e) bars any civil penalty arising out of those invoices. MSC characterizes OE's argument as that of a continuing violation, where the "correspondence" between MSC and V. Alexander purportedly extends the statute of limitations. MSC Brief, pp. 17-18. MSC correctly points out that the Commission rejected this argument in the context of a violation of § 41106(2) alleging unreasonably discriminatory lease terms. *Maheer Terminals*, 2013 WL 9808667, *7. The Commission found that, since the lease terms were entered into prior to the applicable three-year statute of limitations, the reparation claim based on the terms was barred. While the Commission rejected complainant's continuing violation theory based on receipt of rental payments and increased rent imposed by the terms of the lease, it did point out that "[t]o the extent the terms in the leases violate the Act, they may be inflicting new injuries" on respondent, declining to make any findings on that issue at the summary judgment stage. *Id.* *8.

OE also bases its argument on *Maheer*, stating that while a penalty based on the issuance of the February-May 2018 invoices would be impermissible, if OE can establish a § 41102(c) violation occurring within the limitations period – even if it arises out of those invoices – a civil penalty for the unreasonable practice resulting in an injury would be appropriate. OE argues that the violations here are not limited to invoicing in accordance with the unreasonable merchant clause, but the "application of the merchant clause" more generally. OE Reply, pp. 19-22. The first time OE explicitly makes this argument in terms of what acts constitute unreasonable "application of the merchant clause," when and how many times it occurred, is in a footnote in its reply noting that the "application of the merchant clause" results in 107 violations, "while still excluding the five incidents prior to August 10, 2019," seemingly based on every time MSC communicated about an outstanding invoice. OE Reply, p. 22 n. 11.

In its opening brief, on the other hand, OE is clear that the violations are the 18 invoices issued to V. Alexander, J. Connor, and Welke. OE Brief, p. 77. This is the number of violations OE identified for purposes of assessing civil penalties with respect to the merchant clause. It is also the focus of every case it cited – all the cases cited by OE in support of the proposition that "application of the merchant clause" was unreasonable are premised on determining responsibility for a charge, and that determination was made by MSC at the time it issued the

invoices. Indeed, in its opening brief, OE did argue that continuing to pursue payment created a continuing violation. OE Brief, p. 44. This is the same theory that was rejected in *Maheer*. And for the reasons stated in *Maheer*, OE's argument on this point must be rejected. There is no argument or evidence in the record supporting a finding that any of the communications identified by OE in its reply brief could be found to be unreasonable under the Shipping Act. OE cites no authority for the proposition that there is anything inherently unreasonable or unjust about sending a follow-up email on a previously issued invoice, or refusing to invoice a different party without the consent of that party. And assuming the invoices had been issued to an appropriate party, those actions would presumably have been reasonable. All the alleged violations arise out of MSC's policy of invoicing the Notify Parties in accordance with its merchant clause, and so the appropriate measure of the statute of limitations is the date of invoicing. Therefore, the statute of limitations bars any penalty for the five invoices issued prior to August 10, 2018. This leaves 13 violations of § 41102(c) corresponding to the 13 Notify Party invoices not barred by the statute of limitations.

2. Billing of Non-Operating Reefers as Reefers – Alleged Violations of 46 U.S.C. §§ 40501 and 41102(c)

A "dry" cargo container is a shipping container designed for the carriage of goods other than liquids. It is the most widely used shipping container and used mainly for general cargo. A refrigerated container or "reefer" is an insulated shipping container generally designed for the purpose of carrying refrigerated cargo and fitted with a refrigeration unit which is connected to the carrying ship's electrical power supply. Reefers require enhanced handling and care, which includes the plugging and unplugging of the units, daily monitoring, electricity, pre-trip inspections for the units and generator, fuel for the generators, and other care. Non-operating reefer containers ("NORS"), containers with refrigeration units which are turned off, may be substituted for dry containers when they are non-operational or when demand for dry containers exceeds the supply of available dry containers. NOR containers that are used to carry dry cargo do not require such enhanced care (i.e. plugging and unplugging of the units, daily monitoring, electricity, pre-trip inspections for the units and generator, and fuel for the generators). FOF 79-83.

During 2021, MSC's tariff contained demurrage, detention, and per diem charges for reefer containers and dry containers. During this time, MSC's tariff did not contain separate demurrage, detention, and per diem charges for NORs. FOF 84-85. MSC imported 20,121 NOR containers into the United States in 2021, charging D&D on 11,480. Some of these NORs were charged the D&D Charge rates as operating reefers. FOF 88-90, 94. On February 8, 2022, during an audit, the Commission asked MSC to explain why it was charging additional demurrage or detention for NOR containers beyond regular dry cargo equipment. MSC replied that:

[The D&D] rates for NOR units are by default the rates applied to DRY units. Therefore MSC USA does not apply the same D&D rates to NOR and REEFER units, except in random billing mistakes which are corrected. This default policy of applying DRY D&D rates to NOR units is not at the moment explicitly laid

down in MSC's tariff, but it is our intention to modify our tariff entry to make this more plain.

FOF 91-92. That modification was not made until over a year later, on March 9, 2023. FOF 106. In the meantime, this omission caused confusion not only for MSC customers, but for MSC employees as well – the record contains several examples of MSC employees responding to customers' questions about NOR D&D charges by incorrectly saying that the reefer free time allowance and D&D rates had been properly applied to these containers. FOF 94. When such errors occur, MSC's stated policy was to "correct and refund/credit the billed amounts as soon as the mistake becomes known." FOF 96. During 2021, MSC's mistakenly applied reefer rates to NOR containers 2,629 times, resulting in at least 925 customer disputes. FOF 97-99. MSC states in its interrogatory responses that it has refunded all of these overcharges, and OE has not presented any evidence that MSC's statement is inaccurate. FOF 107. MSC published separate D&D rates for NORs on March 9, 2023. FOF 106.

(a) Failure to Publish Rates and Rules in Violation of § 40501

OE contends that MSC's failure to publish NOR tariff rates is a violation of 46 U.S.C. § 40501, and that billing NORs at reefer rates was an unreasonable practice in violation of 46 U.S.C. § 41102(c). Section 40501 of the Shipping Act provides, in relevant part:

(a) Automated Tariff System

(1) In General. Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established....

* * *

(b) Contents of Tariffs. A tariff under subsection (a) shall –

* * *

(4) state separately each terminal or other charge, privilege, or facility under the control of the carrier or conference and any rules that in any way change, affect, or determine any part or the total of the rates or charges;

46 U.S.C. § 40501. In 2021, and until March 9, 2023, MSC did not publish separate D&D charge rates applicable to NORs in its tariff applicable to the United States trade. FOF 85, 106. And although it did publish separate rates for dry and reefer containers, its tariff did not explicitly indicate that NORs would be assessed D&D charges at the dry container rate, which was the policy it stated in response to the Commission's investigation. As described above, this lack of clarity in the tariff resulted in confusion and overcharges, and was present from "at least January 1, 2021" through March 9, 2023. OE Brief, pp. 57-58.

MSC's counterargument does not meet the substance of the alleged § 40501 violation. First, MSC contends that "the absence of a specific NOR charge in MSC's tariff at most rendered the tariff ambiguous," since NORs could reasonably be billed as either dry containers or reefers, and that it adhered to the requirement that an ambiguous tariff entitles the shipper to the lower rate, which it ultimately provided. MSC Br., pp. 21-22. This no-harm-no-foul argument misses the mark because it ignores the purpose of the statute, which, on its face, is to provide the shipping public with accessible and comprehensive information regarding a carrier's charges and regulations. That MSC created an unpublished – and apparently unwritten, since it appears in no contemporaneous document in the record – internal policy of billing NORs as dry containers, and then refunded overcharges to those customers who knew enough to complain, does not excuse them from the statutory requirement of publishing its rules, rates and policies. MSC cites no authority to support this proposition.

MSC's second counterargument is a *non sequitur*. It contends that since OE is not arguing that MSC violated the Shipping Act by billing 8,851 NORs as dry containers since there was no published NOR rate in the tariff, they are admitting that these 8,851 containers were properly billed. MSC Br., p. 22. OE is arguing that there was no published NOR rate in the tariff, and this constituted a continuing violation of § 40501 for each day that it persisted – the violation has nothing to do with how many NORs were shipped or billed under whatever rates MSC decided to bill them at. *See Marcella Shipping Ltd.*, Docket No. 85-13, 1986 WL 170058, at *6 (ALJ Feb. 18, 1986) (Shipping Act's tariff-filing requirement is absolute, without regard to intent or motivation), administratively final Mar. 26, 1986.

The Shipping Act provides that "[e]ach day of a continuing violation is a separate violation." 46 U.S.C. § 41107(a). This means that for each day MSC continued to fail to amend its tariff, from January 1, 2021 up to and including March 9, 2023, MSC acted in contravention of 46 U.S.C. § 40501, accumulating seven hundred and ninety-eight (798) separate violations.

(b) Billing NORs as Reefers in Violation of § 41102(c)

As to whether the NOR overcharges that occurred during this time period were an unreasonable practice in violation of § 41102(c), MSC's argument is more persuasive. The only evidence in the record that explains the reason why the NORs were billed at the reefer rate instead of the dry rate is the declaration of Mr. Marco Sidoti, the Nationwide Demurrage/Detention/Perdiem Director for MSC's U.S. agent. Mr. Sidoti confirms that "[d]uring 2021, it was MSC's billing practice to treat NORs as dry containers for purposes of assessing Charges. This approach was standard, and all terminals were instructed to bill NORs at the dry rates." FOF 93. Mr. Sidoti became aware of errors in invoices relating to D&D charges for NORs on or about September 2, 2021. FOF 100. He explains that the errors were caused by the absence of a "Yes/No" flag for identifying NORs in MSC's internal tariff recording system, which caused its invoicing system to apply reefer rates, rather than dry container rates, to NORs. FOF 101-102. The absence of this flag was due to a clerical error – it was overwritten with a blank entry during an update of the internal tariff recording system, "either caused by copy and pasting new tariff conditions for multiple terminal locations or accidentally removing the "Yes"

flag.” *Id.* Mr. Sidoti states that the error was corrected on or about September 16, 2021, and was no longer an issue. FOF 103.

I have no factual basis from which to conclude that the billing of NORs as reefers was the result of anything other than a mistake, as MSC contends – it was not a “practice” under § 41102(c). OE argues that, since it occurred 2,629 times, it was “not a single occurrence, but an often repeated, systematic, uniform, and habitual billing of NORs as operating reefers,” and therefore satisfied the “normal, customary, and continuous” requirement. OE Br., p. 55. But this requirement is not a numbers game – there is no bright-line number or percentage above which an act becomes presumptively a “practice.” And, of course, the other way of looking at the number is that it represents shipments during a limited time frame – from January to September 2021 – and at a fraction (22.9%) of the total 11,480 NORs MSC shipped during that time. FOF 89, 99; OE App. BEIC 139.

The requirement in 46 C.F.R. § 545.4(b) that an alleged violation occur on a normal, customary, and continuous basis is meant to assist in determining whether it is a “practice” pursuant to 46 U.S.C. § 41102(c). But the words “normal, customary, and continuous” do not supplant “practice.” Interpretive regulations, generally, are not intended to impose new legal obligations, but to advise the public of the agency’s construction of the statutes and rules it administers. *Perez v. Mortg. Bankers Ass’n*, 575 U.S. 92, 96-97 (2015). Nothing in the history of the Interpretive Rule demonstrates an intent to impose a specific numerical threshold for the purpose of determining whether a particular act is a “practice,” or to make such a threshold determinative.

In the notice of proposed rulemaking for the interpretive rule, the Commission explained the intended construction of the word “practice” in 46 U.S.C. § 41102(c):

It is this line of recent cases determining that a discrete failure to observe and enforce an established just and reasonable regulation or practice that the Commission seeks to reform in this rulemaking so as to return the scope of § 41102(c) to its proper role and purpose within the Shipping Act. In the future, the Commission intends to follow the reasoning in *Intercoastal Investigation*, *Altieri*, *Stockton Elevators*, *European Trade Specialists*, *Deringer*, and *Kamara* which offer precedent as to what properly applies the full meaning and purpose of “establish, observe, and enforce just and reasonable regulations and practices” under the Shipping Act and a violation of § 41102(c).

Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 43569-43570 (Sep. 8, 2018) (“NPRM”); *see also, generally*, Final Rule, 83 Fed. Reg. 64478 (adopting reasoning of NPRM and again citing to *Intercoastal Investigation*, *Stockton Elevators*, *European Trade Specialists*, and *Kamara*, among other cases).

Intercoastal Investigation describes a practice as “an often repeated and customary action.” *Intercoastal Investigation*, 1935, 1 U.S.M.C. 400, 432 (1935). In *Altieri*, the presiding officer found that, although respondent’s withholding of money owed to complainant to offset a disputed claim of respondent against complainant was clearly unlawful, it was “an isolated or ‘one shot’ occurrence,” and therefore not a “practice” within the meaning of the Shipping Act.

Altieri v. Puerto Rico Ports Authority, 7 F.M.C. 416, 419-420 (Oct. 18, 1962). In *Stockton Elevators*, the Commission described a “practice” as “something habitually performed and it implies continuity . . . the usual course of conduct. It is not an occasional transaction” *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964). In *European Trade Specialists*, the allegation was that the freight forwarder had failed to notify the shipper of the dispute as to the applicable tariff rate for their commodities. The ALJ found that the freight forwarder’s normal practice was to notify shippers of such disputes, that they had reached out to complainant for additional information regarding the classification of their shipment, and even if they had not, the failure to do so was a single incident, and so not a “practice.” *European Trade Specialists v. Prudential-Grace Lines*, 17 S.R.R. 1351, 1364 (ALJ Nov. 1, 1977) *aff’d*, 19 S.R.R. 59, 63 (FMC 1979)). In *A.N. Deringer*, the respondent’s failure to specify the number of cartons on the bill of lading, which resulted in limitation of liability to loss for one carton rather than the 12 that were actually lost, was found to be “an isolated error;” the settlement officer noted that “an alleged violation of Section 10(d)(1) requires more than the showing of unjust or unreasonable activity,” requiring proof of failure to enforce reasonable regulations and practices. *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, Docket No. 1652(I), 25 S.R.R. 1273, 1276, 1990 WL 427469, at *4 (SO Nov. 14, 1990). In *Kamara*, the settlement officer held that a carrier’s failure to remit payment to a subcontracting carrier did not constitute a Shipping Act violation, although the shipper would have a contractual claim, since Section 10(d)(1) was not intended to cover “an isolated error or understandable misfortune,” but rather a “pattern of behavior.” *Kamara v. Honesty Shipping Service*, Docket No. 1841(I), 29 S.R.R. 321, 322 n.8, 2001 WL 898739, at *2 n.8 (SO July 26, 2001).

In this case, while the specific error, the billing of NORs as reefers, was “often repeated,” the fact that it occurred less than a quarter of the time during a limited period means it was not “customary.” And based on the evidence in the record, each of those occurrences stemmed from a single, isolated clerical error. It is hardly surprising in a time of ever-increasing automation of business practices that such an error may propagate to thousands of individual customer interactions, but this does not in and of itself render the error a “practice.” Nor is there any continuity of action – the error was corrected and the overcharges, except for two incidents identified by OE, stopped. Where admittedly incorrect overcharges occur because of an isolated billing-system error and are then corrected, such overcharges cannot be considered a “practice” for purposes of § 41102(c), regardless of the absolute or relative number of those overcharges.

OE has the burden of establishing that MSC’s billing of NORs as reefers was a “practice,” but besides the number of overcharges discussed above, it provides no persuasive support for its position. It attempts to call Mr. Sidoti’s declaration into question by pointing out that problems occurred after the date on which the system error was allegedly fixed, but the isolated nature of these errors (compared to the widespread overcharges that occurred before), actually supports Mr. Sidoti’s explanation. As MSC accurately points out, OE can identify two invoices that appear to be the only actual examples of post-September 16, 2021, mischarging of NORs as operating reefers. The remaining emails are related to charges incurred before the billing-system fix. The fact that a limited number of NORs may have been charged incorrectly after September 16, 2021, does not mean the systems issue identified by Mr. Sidoti was not the cause of the widespread confusion that occurred before that date. Without any contrary evidence as to the cause of the billing errors, I find MSC’s billing of NORs as reefers during 2021 to be a mistake, not a practice.

3. Civil Penalties

The Shipping Act provides for civil penalties:

A person that violates this part or a regulation or order of the . . . Commission issued under this part is liable to the United States Government for a civil penalty. Unless otherwise provided in this part, the amount of the penalty may not exceed [\$14,988] for each violation or, if the violation was willfully and knowingly committed, [\$74,943] for each violation

46 U.S.C. § 41107(a); 90 Fed. Reg. 3039. The Shipping Act originally provided for maximum penalties of \$5,000 and \$25,000 for non-willful and willful violations, respectively. See Inflation Adjustment of Civil Monetary Penalties, 61 Fed. Reg. 52704, 52705 (Oct. 8, 1996) (codified at 46 C.F.R. § 506.4(d) (Table) (1996)) (citing 46 U.S.C. § 41107(a)). These amounts have been adjusted for inflation annually. In 2025, the Commission increased the amounts to \$14,988 and \$74,943. Inflation Adjustment of Civil Monetary Penalties, 90 Fed. Reg. 3039, 3040 (Jan. 14, 2025).

Section 41109 of the Shipping Act, previously section 13(c), provides that in “determining the amount of a civil penalty assessed... [the] Commission shall take into consideration – (A) the nature, circumstances, extent, and gravity of the violation committed; (B) and, with respect to the violator – (i) the degree of culpability; (ii) any history of prior offenses; (iii) the ability to pay; and (iv) such other matters as justice may require.” 46 U.S.C. § 41109(b)(1). These factors have been codified in the regulations which state:

(b) Determination of amount—

(1) Factors for consideration. In determining the amount of a civil penalty assessed pursuant to paragraph (a) of this section, the Federal Maritime Commission shall take into consideration:

(i) The nature, circumstances, extent, and gravity of the violation committed;

(ii) With respect to the violator:

(A) The degree of culpability;

(B) Any history of prior offenses;

(C) The ability to pay; and

(D) Such other matters as justice may require; and

(iii) The amount of any refund of money ordered under 46 U.S.C. 41310.

46 C.F.R. § 502.603(b).

Civil penalties are punitive in nature. The main Congressional purpose of imposing civil penalties is to deter future violations of the Shipping Act. *Stallion Cargo, Inc. – Possible Violations of Sections 10(a)(1) and 10(b)(1)*, Docket No. 99-18, 29 S.R.R. 665, 681, 2001 WL 35725562, at *19 (FMC Oct. 18 2001); *Refrigerated Container Carriers Pty. Ltd. – Possible Violations*, Docket No. 98-20, 28 S.R.R. 799, 805, 1999 WL 287326, at *10 (ALJ April 13, 1999), admin. final May 21, 1999.

“To determine a specific amount of civil penalty is a most challenging responsibility. The matter is one for the exercise of sound discretion, essentially requires the weighing and balancing of eight factors set forth in law, and is ultimately subjective and not one governed by science.” *Universal Logistic Forwarding Co. – Possible Violations of Sections 10(a)(1) and 10(b)(1)*, Docket No. 00-10, 29 S.R.R. 323, 333, 2001 WL 503660, at *11 (ALJ April 11, 2001) (citation omitted), adopted in relevant part, 29 S.R.R. 474, 2002 WL 207541 (FMC Jan. 18 2002). “As was stated in *Cari-Cargo, Int., Inc.*,”:

... in fixing the exact amount of penalties, the Commission, which is vested with considerable discretion in such matters, is required to exercise great care to ensure that the penalty is tailored to the particular facts of the case, considers any factors in mitigation as well as in aggravation, and does not impose unduly harsh or extreme sanctions while at the same time deters violations and achieves the objectives of the law. Obviously, “[t]he prescription of fair penalty amounts is not an exact science,” and “[t]here is a relatively broad range within which a reasonable penalty might lie.”

Id. (citing *Cari-Cargo, Int., Inc.*, 23 SRR 1007, 1018, 1986 WL 170057, at *10 (ALJ 1986).

OE has the burden of establishing that a civil penalty should be imposed, and if so, the amount of the civil penalty that should be assessed. In “Commission-instituted proceedings, unlike in private complaint proceedings, it is not necessary that the violation of a statute result in harm to the public for the respondent to be liable.” *Stallion Cargo*, 29 S.R.R. at 678-79, 2001 WL 35725562, at *17. With respect to knowing and willful violations, the Commission imposes higher penalties:

Although there is no minimum penalty amount for violations found to be knowing and willful, when the Commission has in the past found violations to be knowing and willful, it has generally assessed penalties that exceed the maximum for violations that are not knowing and willful, or \$6,000 in this case. *See, e.g., EuroUSA Shipping, Inc., et al. – Possible Violations of Shipping Act*, 31 S.R.R. 1131, 1152 (ALJ 2009, admin. final January 7, 2010) (\$30,000 per violation penalty assessed for 13 knowing and willful violations); *Mateo Shipping Corp. – Possible Violations of 1984 Act and Commission Regs.*, 31 S.R.R. 830, 851 (ALJ 2009, admin. final September 29, 2009) (\$30,000 per violation penalty assessed for 13 knowing and willful violations); *Hudson Shipping (Hong Kong) Ltd. – Possible Violations of the 1984 Act*, 29 S.R.R. 1381, 1386 (ALJ 2003, admin. final February 6, 2004) (\$22,500 per violation assessed for 120 knowing and willful violations); *Green Master Int’l Freight Services Ltd. – Possible Violations of the 1984 Act*, 29 S.R.R. 1319, 1323 (FMC 2003) (\$22,500 penalty per knowing

and willful violation affirmed) (*Green Master II*); *Green Master Int'l Freight Services Ltd. – Possible Violations of the 1984 Act*, 29 S.R.R. 1303, 1317-18 (FMC 2003) (\$22,500 per violation assessed for 68 knowing and willful violations); *Transglobal Forwarding Co., Ltd. – Possible Violations of the 1984 Act*, 29 S.R.R. 814, 821 (ALJ 2002, admin. final June 17, 2002) (\$20,000 per violation assessed for 72 knowing and willful violations); *Stallion Cargo*, 29 S.R.R. at 682 (\$10,000 per violation assessed for 134 knowing and willful violations).

Anderson Int'l Transport – Possible Violations of Sections 8(A) and 19, Docket No. 07-02, 32 S.R.R. 1678, 1693-94, 2013 WL 9808666, at *20 (FMC June 25, 2013) (footnote and citations to record omitted).

Having found 13 violations of § 41102(c) corresponding to the 13 Notify Party invoices not barred by the statute of limitations, and 798 violations of § 40501 corresponding to each day that MSC did not publish the rules applicable to NOR D&D charges in the U.S. trades, I will discuss each of the assessment factors.

a. Knowing and Willful

The Commission has addressed the knowing-and-willful factor, stating:

In order to prove that a person acted “knowingly and willfully,” it must be shown that the person has knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence. The Commission has further held that a person's “persistent failure to inform or even to attempt to inform himself by means of normal business resources might mean that a [person] was acting knowingly and willfully in violation of the Act.”

Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd., Docket No. 96-05, 29 S.R.R. 119, 164-165, 2001 WL 865708, at *47 (FMC June 1, 2001) (citations omitted); *see also Pacific Champion Express Co., Ltd – Possible Violations of Section 10(b)(1)*, Docket No. 99-02, 28 S.R.R. 1397, 1403, 2000 WL 534633, at *10 (FMC April 21, 2000) (similar language).

With respect to the merchant-clause violations, I do not find that MSC acted with plain indifference to the Shipping Act. The parties argue extensively over the timing of, content in, and commentary to the D&D Interpretive Rule (and other Commission activities, including private-party complaints and petitions for rulemaking, related to D&D charges), and whether MSC was thereby on “fair notice” that its merchant clause violated the Shipping Act. See OE Br. at 62-64, MSC Br. at 6-8, OE Reply Br. at 8-11. But none of sources OE cites contain a definitive pronouncement on the conduct at issue here, and with respect to the D&D Interpretive Rule, the Commission disclaimed any specificity as to who the correct parties were for purposes of invoicing, as discussed above. The extensive rulemaking activity surrounding D&D charges cited by OE shows that there was not previously sufficient clarity on this issue, such that MSC could be acting with plain indifference to a specific rule. That the Commission was investigating

the application of merchant clauses, and that certain industry stakeholders took the view that broad application was commercially unreasonable, does not constitute clear guidance as to what behavior is prohibited. The subsequent enactment of the Commission’s Final Rule – Demurrage and Detention Billing Requirements is also a useful data point in the chronology. 89 Fed. Reg. 14330 (Feb. 26, 2024, effective May 28, 2024) (“D&D Billing Requirements Rule”). The D&D Billing Requirements Rule outlined specific requirements for billing D&D charges, including the requirement that a properly issued invoice is billed to the person for whose account the billing party provided ocean transportation or the consignee, and cannot issue an invoice to any other person, demonstrating that further specificity was beneficial to carriers and shippers, and that there was not previously any explicit guidance that MSC could have been disregarding.

With respect to the NOR tariff, on the other hand, there is an indication of knowing and willful violation on MSC’s part. Despite the thousands of overcharges in 2001, Mr. Sidoti’s discovery and correction of the billing error in September 2021, continued internal staff confusion, customer fallout, and inquiries from the Commission in 2022, MSC did not amend its tariff to reflect its billing practices for NORs until mid-2023. MSC offers no explanation for this dilatory behavior, which constitutes willful disregard of the tariff-publishing requirements of 46 § U.S.C. 40501. On this basis, I find that the § 40501 violations were knowing and willful.

b. Nature, Circumstances, Extent, and Gravity of the Violations

While there is insufficient evidence to find MSC’s billing of the notify parties was a knowing and willful violation of the Shipping Act, it is certainly fair to say that there was ample legal support for the idea that these invoices were contrary to basic principles of contract and agency law (as discussed above). And despite there being only 13 violations within the limitations period, totaling \$7,731.91, MSC’s insistence on enforcing its merchant clause in this way resulted in an administrative headache for the Notify Parties that was entirely out of proportion to this amount.

OE asks me to infer that MSC has “violated section 41102(c) on many more occasions regarding its practice of sending invoices to notify parties.” OE Br. p. 74. But I do not find such an inference appropriate. It is proper to draw inferences from certain facts when direct evidence is not available. *Waterman Steamship Corp. v. General Foundries Inc.*, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993). But this is not a situation where evidence is not available. BEIC conducted an investigation of MSC’s practices related to its merchant clause. OE App. BEIC 293-297. OE has presumably presented the relevant evidence gathered in that investigation. OE also had an opportunity to conduct discovery in this proceeding. OE presents no explanation of why BEIC’s investigation would have been incomplete, or how MSC hampered its discovery efforts in this case. Nor does it propose a methodology for determining the total number of potential violations, such as sampling, or present the necessary information with which to do so. Without an indication of what information, exactly, is unavailable and why, or a reasonable means of extrapolating from existing information, I cannot simply infer that there are “many” additional violations – or indeed any additional violations – for the purpose of imposing a higher penalty.

As for the NOR overcharges, while I did not find them to be a "practice" for purposes of § 41102(c), they were a symptom MSC's failure to publish a complete and accurate tariff, which would have alerted the shipping public to the proper charges for these containers and, presumably, resulted in an earlier fix to the billing-system error that resulted in the overcharges.

As OE points out, in 1983, the Senate debated whether tariff publication and the enforcement of tariffs by the Commission should be included in the Shipping Act of 1984. 98 CONG. REC. 3179 (1983). Senator Gorton, the sponsor of the bill, argued in favor of tariff requirements, stating that "tariff requirements . . . both promote competition and provide certainty in the uncertain world of international trade." 98 CONG. REC. 3180 (1983). In doing so, he highlighted the importance of tariff publication to the Shipping Act of 1984. Tariff publication provides the public the information and knowledge to decide whether to contract with an ocean common carrier. Published tariffs are necessary for a consumer to be able to make informed decisions and to hold an ocean common carrier accountable to the rates and charges published. This principle is applicable to D&D charges.

This case illustrates the potential harm of a carrier's failure to comply with § 40501. Many overcharged customers did not seek refunds, and this may be the result of MSC's failure to publish its D&D rates and rules. MSC's own employees gave confusing and potentially misleading answers to customer inquiries, and it is hard to imagine this level of confusion persisting had MSC's tariff been clear. MSC's failure led to more than \$2 million in overcharges by MSC in 2021 alone. Even though they were refunded, the overcharges resulted in a disproportionate administrative burden for MSC's customers, who did not have the benefit of clear tariff information to promptly alert them to MSC's mistake. This confusion and inconvenience – both to MSC's customers and, apparently, its own employees – illustrates the gravity and importance of the publication requirements in § 40501.

c. Culpability and History of Prior Offenses

OE argues that on at least four occasions, between approximately 1989 and 2006, MSC was the subject of enforcement actions that were resolved through the Commission's informal compromise procedures. OE Br. p. 75. MSC correctly points out that OE's assertion that compromise agreements constitute prior offenses is contrary to Commission precedent. In *Sea-Land Service, Inc. – Possible Violations of Section 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, OE argued that prior settlements constituted prior offenses. The Commission rejected that argument and found that Sea-Land had no prior offenses. The Commission stated that settlement agreements "cannot be aggravating factors as they do not represent a full litigation of the merits of the alleged violations." Docket No. 98-06, 30 S.R.R. 872, 894, n. 9, 2006 WL 2007809, at *32, n. 9 (FMC Feb. 8, 2006).

d. Ability to pay

OE observes that since MSC is privately owned, its exact income and profits are unknown. OE BR., p. 76. In 2021-2023, MSC was one of the largest importer of goods into the

U.S., importing 3.6 million TEUs in 2023 alone. OE PFF ¶ 5; Resp. to OE PFF ¶ 5; OE App. BEIC 27. Based on Descartes data, there was no single importer of goods higher than MSC, and the second largest importer of goods into the U.S. in 2023 was CMA-CGM, S.A. (CMA) with approximately 3.1 million TEUs. OE App. BEIC 0000270. CMA's revenue in 2023 was \$ 47.02 billion USD. OE Br. p. 76. It can be reasonably inferred that MSC's revenue is comparable to CMA's since it has a larger share of the U.S. market. MSC takes no position regarding its ability to pay. MSC Br., p. 29. I do not find MSC's ability to pay to be a mitigating factor such that it would warrant the reduction of any civil penalty imposed.

e. Calculation

The parties disagree as to whether the penalty amounts in effect at the time of the violation or the current amounts, as adjusted for inflation, apply. In 2016, the Commission published 46 C.F.R. § 506.5, which provides that, “[a]ny adjustment in a civil monetary penalty under this part shall apply only to civil monetary penalties, including those whose associated violation predated such increase, which are assessed after the date the adjustment takes effect.” *See also* Inflation Adjustment of Civil Monetary Penalties, 81 Fed. Reg. 42552 (Fed. Mar. Comm’n June 30, 2016). OE’s reading of this regulation is correct: the word “including” extends the previous clause to the second clause – “those whose associated violations predated such increase.” The word “those” refers back to “civil penalties,” meaning that inflation adjustments apply to civil penalties whose “associated violations” occurred before the inflation adjustment. The word “which” similarly refers to the civil monetary penalties, including civil monetary penalties for violations occurring prior to the adjustment, and the following clause specifies and refers to the word “those,” i.e. the previously discussed civil penalties. The phrase after “which,”—“assessed after the date the adjustment takes effect”— applies to the previously discussed civil penalties.

MSC relies on *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 4 F.M.C.2d 53, 94 (ALJ April 22, 2022) for the proposition that the penalties at the time of the violation apply, but the parties in that case did not raise 46 C.F.R. § 506.5, and the cases relied on predate its enactment. Similarly, *Sea-Land Service*, also cited by MSC, predated the enactment of 46 C.F.R. § 506.5. In any event, the penalties imposed here do not exceed the maximums in place at the time of the violations (\$11,712-12,363 for non-willful and \$58,562-61,820 for willful violations) or the current inflation-adjusted maximums (\$14,988 and \$74,943). *See* Inflation Adjustment of Civil Monetary Penalties for 2018-2021 at 80 Fed. Reg. 1304 (Jan. 11, 2018), 84 Fed. Reg. 2459 (Feb. 7, 2019), 85 Fed. Reg. 1760 (Jan. 8, 2020), and 86 Fed. Reg. 2560 (Jan. 13, 2021).

OE proposes a penalty of \$73,045 for each merchant-clause violation, on the assumption that they are knowing and willful, and a penalty of \$19,609 for each day that MSC violated 46 U.S.C. § 40501. OE Br. p. 78. Applying those amounts would result in a total of \$949,585 for 13 violations of § 41102(c) and \$15,647,982 for the violations of § 40501. MSC proposes that a more reasonable penalty would be a total of \$2 million to \$3 million. MSC Br. p. 40. It argues that the total penalties proposed by OE are “unlawful on their face” since they exceed the penalties assessed in prior cases. MSC Br. 24-25. OE counters that the proposed penalties are

lawful because they are explicitly provided for by the Shipping Act, but this misses the point of MSC's argument, which is that consistency is a relevant factor employed by courts in reviewing civil penalties imposed by administrative agencies. *See Univ. of Texas M.D. Anderson Cancer Ctr. v. United States Dep't of Health & Hum. Servs.*, 985 F.3d 472, 479–80 (5th Cir. 2021) (stating that it is a bedrock principle that an agency treat like cases alike and finding a fine imposed by the agency to be arbitrary and capricious where similar conduct resulted in no fine for one entity and a fine of over \$4 million for another entity). MSC relies on *Hapag-Lloyd, A.G.*, Docket No. 21-09, a case in which the Commission initiated a hearing to determine if Hapag-Lloyd was in violation of § 41102(c) by charging for detention when it failed to provide an equipment-return location or when appointments were unavailable. See Docket No. 21-09, Order of Investigation and Hearing (Nov. 10, 2021). In that case, the presiding officer imposed a civil penalty of \$58,730 per violation for each of 14 violations of § 41102(c), and the case subsequently settled for \$2 million. See 4 F.M.C.2d at 95; see also Docket No. 21-09, Settlement Agreement (May 18, 2022). With per-violation penalties in the mid-range of what OE is proposing here, it is not clear how this case supports MSC's argument.

As to the merchant clause violations, MSC issued 13 invoices in violation of the Shipping Act, totaling \$7,731.91. I will impose a civil penalty of \$5,000 per violation, for a total of \$65,000. This amount reflects my consideration of the factors above while being proportional to the harm caused by the violations.

For the § 40501 violations a civil penalty of \$20,000 per day of the continuing violation – a total of \$15,960,000 for 798 days – is imposed. This amount reflects the knowing and willful nature of the violation, MSC's delay in correcting a known problem with its tariff, the importance of maintaining complete and accurate tariffs, and is proportional to the over \$2 million in overcharges occurring during 2021 until the billing system was corrected in September 2021 – and the concurrent confusion and administrative costs imposed on the shipping public in connection with obtaining refunds.

f. Cease-and-Desist Order

OE argues that the evidence in the record justifies entry of a cease-and-desist order. Such orders are appropriate when there is a likelihood of continued violation of the Shipping Act:

The imposition of a cease and desist order normally requires a showing that unlawful conduct is ongoing or likely to resume. *See Alex Parsinia d/b/a Pac. Int'l Shipping and Cargo Express*, 27 SRR 1335, 1342 (ALJ 1997) (“a cease and desist order is appropriate when the record shows that there is a likelihood that offenses will continue absent the order and when the record discloses persistent offenses”); and *Portman Square Ltd.-Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 28 SRR 80, 86 (ALJ 1998) (“the general rule is that [cease and desist] orders are appropriate when there is a reasonable likelihood that respondents will resume their unlawful activities”). After proving violations of the Act, in order for Maher to obtain cease and desist relief against PANYNJ, it will have to make that showing.

Maier Terminals, LLC v. Port Authority of New York and New Jersey, Docket No. 08-03, 32 S.R.R. 1185, 1190 n.8, 2013 WL 9808667, at *11 n. 8 (FMC Jan. 31, 2013). A cease-and-desist order must be tailored to the needs and facts of the particular case. *Marcella Shipping*, 1986 WL 170058, at *16. In addition to protecting the shipping public, a cease-and-desist order will alert the shipping industry, forestall future violations, and facilitate injunctions against possible unlawful activity in the future. *Pacific Champion*, 28 S.R.R. at 1190-91, 2001 WL 534633, at *12-14.

OE requests that MSC be ordered to cease and desist from violating the Shipping Act with respect to the merchant-clause violations as follows: MSC is to cease and desist (1) invoicing or making any other form of written or oral demand for monies owed under the Bill of Lading or tariff for freight and/or charges to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom MSC has a direct contractual relationship; and (2) all efforts at collecting monies owed to MSC from any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom MSC has a direct contractual relationship. OE Br. p. 78. With respect to this proposed language, I note that a prior FMC proceeding which raised similar issues was resolved by a settlement agreement in which the respondent paid a civil penalty, limited “the use of its Bill of Lading ‘Merchant’ definition in the U.S. foreign trade to shippers, consignees, and persons with a beneficial interest in the cargo,” and agreed to a cease-and-desist order prohibiting it “from collecting monies owed ONE under its bill of lading from non-Merchants or entities with whom ONE has no direct contractual relationship.” *Ocean Network Express (North America), Inc. and Ocean Network Express, Pte., Ltd. – Possible Violations of 46 U.S.C. S 41102(c)*, Docket No. 21-17, 2022 WL 17811691 at *4-5 (ALJ June 28, 2022). OE further requests that Respondent be ordered to cease and desist from violating the Shipping Act at 46 U.S.C. § 41102(c) by overcharging its shipper customers in its application of its Operating Reefer tariff rates to NOR shipments. OE Br. p. 79. MSC does not address the imposition of a cease-and-desist order.

A preponderance of the evidence demonstrates that MSC continued to insist that the Notify Parties pay its invoices even after being informed of the proper parties to invoice, and that it continues to insist its billing of notify parties is reasonable under the Shipping Act. There is a reasonable likelihood that MSC would continue to violate the Shipping Act without a cease-and-desist order. Therefore, an appropriate order follows. Since I have determined that MSC’s NOR overcharges were not a practice, and since MSC has now amended its tariff, I do not find it is necessary to issue a cease-and-desist order with respect to the NOR overcharges.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that MSC violated the Shipping Act, it is hereby

ORDERED that Mediterranean Shipping Company, S.A., is liable to the United States for the sum of \$65,000 as a civil penalty for 13 violations of 46 U.S.C. § 41102(c). It is

FURTHER ORDERED that Mediterranean Shipping Company, S.A., is liable to the United States for the sum of \$15,960,000 as a civil penalty for 798 violations of 46 U.S.C. § 40501. It is

FURTHER ORDERED that Mediterranean Shipping Company, S.A. and its agents cease and desist: (1) invoicing or making any other form of written or oral demand for monies owed under the Bill of Lading or tariff for freight and/or charges to any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom MSC has a direct contractual relationship; and (2) all efforts at collecting monies owed to MSC from any parties other than shippers, consignees, and persons with a beneficial interest in the cargo or with whom MSC has a direct contractual relationship.

FURTHER ORDERED that this case be **DISCONTINUED**.

**ALEX
CHINTELLA** Digitally signed by
ALEX CHINTELLA
Date: 2025.02.25
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Alex M. Chintella
Administrative Law Judge